EnCap Investments L.P.

EnCap Energy Capital Fund X

Quarterly Review

As of March 31, 2022

Confidential

ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund X

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Section I: Summary of Significant Events and Valuation

Activity for the three months ended March 31, 2022

Transactions

Type	#	*$ in millions*
Commitments	0	0.0
Investments	2	52.0
Realizations-Cash	10	1,095.3

Fund X made no commitment expansions or adjustments to portfolio companies.

Fund X made investments to the following portfolio companies ($ in millions):

Investments:	
PetroLegacy	$ 28.0
Verdun	24.0
	$ 52.0

Fund X received cash distributions from the following portfolio companies ($ in millions):

Distributions:	
Felix II	$ 869.5
Grayson Mill II	67.9
Verdun	66.2
EnCap Minerals	50.6
Novo	24.5
Plains All American	6.7
Fortis Oklahoma	6.4
Moda	2.6
Staghorn III	0.5
Staghorn II	0.4
	$ 1,095.3

Fund Performance Summary ($ in millions)

The table below presents investment performance since inception. A valuation by investment is incorporated in the subsequent table.

Date of Initial Investment	*Total Committed*	*Capital Invested*	*Realized Proceeds*	*Unrealized Value*	*Total Value*	*Gross IRR*	*Net IRR*
Mar-15	$ 7,106.6	$ 6,142.4	$ 4,376.0	$ 8,542.1	$ 12,918.1	21.1%	15.7%

Portfolio Status

Fund X

(As of March 31, 2022; $ in millions)

Company	Date of Initial Investment	Commitment	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value	ROI	Gross IRR
Realized or Substantially Realized Investments								
Southland	Mar-15	$ 465.5	$ 465.5	$ -	$ -	$ -	0.0x	n/a%
Ameredev	May-15	168.3	168.3	514.4	-	514.4	3.1	273.2
Talon III	May-15	13.9	13.9	57.6	-	57.6	4.1	243.5
Grenadier II	May-15	100.8	100.8	145.4	-	145.4	1.4	8.6
Moda	Jun-15	124.9	112.4	169.8	12.5	182.3	1.6	17.4
Staghorn II	Oct-15	164.9	164.9	386.1	5.1	391.2	2.4	154.9
Felix II	Nov-15	335.3	335.3	1,936.1	557.7	2,493.8	7.4	45.5
Raisa	Apr-16	275.8	252.7	239.4	25.5	264.9	1.0	1.2
Royal Holly	Jan-17	26.2	26.2	8.7	-	8.7	0.3	(46.4)
Staghorn III	May-17	276.8	276.8	18.1	12.3	30.4	0.1	(39.0)
Olifant	Jun-17	76.2	76.2	11.2	-	11.2	0.1	(64.6)
		2,028.6	**1,993.0**	**3,486.8**	**613.1**	**4,099.9**	**2.1x**	**23.3%**
Unrealized Investments								
Verdun	Jan-16	315.9	246.0	383.1	800.5	1,183.6	4.8	
Plains All American	Jan-16	280.0	280.0	106.7	339.5	446.2	1.6	
Advance	May-16	445.5	435.4	-	1,322.8	1,322.8	3.0	
OGX IV Quinn Ranch	Jun-16	297.1	257.6	-	337.8	337.8	1.3	
EnCap Minerals	Jun-16	732.0	625.1	212.5	1,594.0	1,806.5	2.9	
Novo	Aug-16	599.1	491.3	49.0	849.0	898.0	1.8	
PetroLegacy	Sep-16	449.6	443.3	-	742.1	742.1	1.7	
Grayson Mill	Oct-16	89.5	58.7	0.5	40.0	40.5	0.7	
Ameredev II	Mar-17	685.0	546.4	-	998.4	998.4	1.8	
Fortis Oklahoma	Mar-17	161.3	161.3	59.4	95.3	154.7	1.0	
Mongoose	Apr-17	298.0	136.5	-	30.3	30.3	0.2	
Enduring IV	Jun-17	475.0	271.4	0.2	316.9	317.1	1.2	
Grayson Mill II	Apr-21	250.0	196.4	77.8	462.4	540.2	2.8	
		5,078.0	**4,149.4**	**889.2**	**7,929.0**	**8,818.2**	**2.1x**	
		$ 7,106.6	**$ 6,142.4**	**$ 4,376.0**	**$ 8,542.1**	**$ 12,918.1**	**2.1x**	**21.1%**

Note: Amount committed, invested and distributed shown net of $79.3 million recallable bridge loan to Southland.

Comparison to prior quarter
($ in millions)

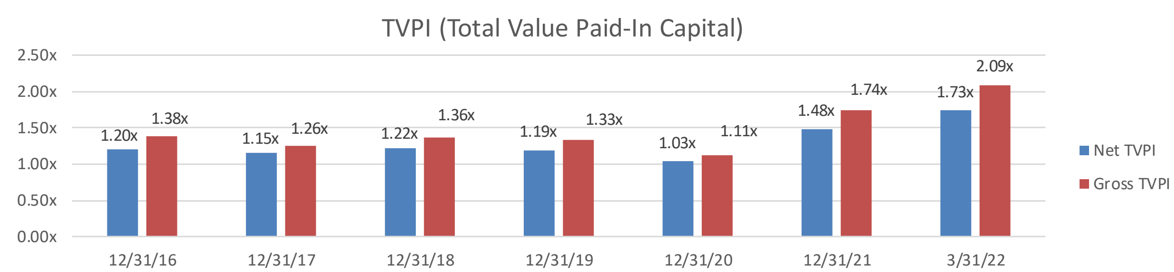
	Valuation 12/31/2021	Valuation 3/31/2022	Q1 2022 Cash Inv. (Distrib.)	Valuation Increase (Decrease)	% Change in Unrealized from 12/31/2021	Comments (> $5MM and 5% change)
Staghorn II	5.1	5.1	(0.4)	0.4	7.8%	
Felix II	1,109.2	557.7	(869.5)	318.0	28.7%	Increase in DVN public security price
Staghorn III	12.1	12.3	(0.5)	0.7	5.8%	
Moda	14.5	12.5	(2.6)	0.6	4.1%	
Verdun	659.8	800.5	(42.2)	182.9	27.7%	Continued positive Eagle Ford well results, ramping free cash flow and oil & gas prices
Plains All American	339.5	339.5	(6.7)	6.7	2.0%	
Raisa	25.5	25.5	-	-	0.0%	
Advance	1,042.7	1,322.8	-	280.1	26.9%	Positive Delaware Basin well results and oil & gas prices
OGX IV Quinn Ranch	222.1	337.8	-	115.7	52.1%	Increased activity and oil & gas prices
EnCap Minerals	1,268.5	1,594.0	(50.6)	376.1	29.6%	Increase in free cash flow due to increased drilling activity and oil & gas prices
Novo	680.4	849.0	(24.5)	193.1	28.4%	Positive Delaware Basin well results and oil & gas prices
PetroLegacy	592.9	742.1	28.0	121.2	20.4%	Positive Northern Midland Basin well results and oil and gas prices
Grayson Mill	36.6	40.0	-	3.4	9.3%	
Ameredev II	672.8	998.4	-	325.6	48.4%	Positive Delaware Basin well results and oil & gas prices
Fortis Oklahoma	92.4	95.3	(6.4)	9.3	10.1%	Increase in free cash flow due to increased drilling activity and oil & gas prices
Mongoose	25.6	30.3	-	4.7	18.4%	
Enduring IV	194.1	316.9	-	122.8	63.3%	Positive San Juan Basin well results and oil and gas prices
Grayson Mill II	362.9	462.4	(67.9)	167.4	46.1%	Bakken operational improvements and increased activity
	$ 7,356.7	$ 8,542.1	$ (1,043.3)	$ 2,228.7	30.3%	

Fund Status

($ in millions)

	12/31/16	12/31/17	12/31/18	12/31/19	12/31/20	12/31/21	3/31/22
Total Commitments	6,701.0	6,701.0	6,701.0	6,701.0	6,701.0	6,701.0	6,701.0
Total Paid-In Capital	2,115.7	4,536.1	5,466.9	6,030.7	6,261.9	6,722.3	6,790.0
Recallable Capital	79.3	419.1	419.1	442.7	448.6	448.6	448.6
% Total Capital Drawn*	30.4%	61.4%	75.3%	83.4%	86.8%	93.6%	94.6%
Remaining Commitment*	4,664.6	2,584.0	1,653.2	1,113.0	887.7	427.3	359.6
Investments at Cost	1,896.8	4,237.5	5,084.0	5,600.3	5,801.4	6,169.7	6,221.7
Investments at FMV	2,618.3	5,328.1	6,907.0	7,441.7	6,457.5	10,716.8	12,997.4
Gains (losses) - on unrealized companies	115.1	458.2	1,190.7	288.5	49.4	2,760.0	4,668.8
Gains (losses) - on realized companies	606.4	632.4	632.3	1,552.9	606.7	1,787.1	2,106.9
Gross Distributions	79.3	942.2	1,059.8	1,254.7	1,357.8	3,280.8	4,376.0
Cash Balance	35.1	55.2	70.3	48.6	75.6	104.3	413.7
# of Companies Funded	19	27	26	24	25	24	24
# of repeat teams	9	15	14	14	15	9	9
# of new teams	10	12	12	10	10	15	15
Realized above cost	2	3	3	4	5	7	7
Realized below cost	-	-	1	3	4	4	4
Unrealized above cost	6	12	15	11	6	8	12
Unrealized at cost	10	9	1	-	1	-	-
Unrealized below cost	1	3	6	6	9	5	1
Gross Distributions:							
% of total drawdowns	3.7%	20.8%	19.4%	20.8%	21.7%	48.8%	64.4%
% of committed capital	1.2%	14.1%	15.8%	18.7%	20.3%	49.0%	65.3%
Key Fund Valuation Metrics:							
Gross IRR	54.1%	20.8%	21.5%	13.7%	3.9%	16.6%	21.1%
Gross DPI (Distributions to investment)	0.04x	0.22x	0.21x	0.22x	0.23x	0.53x	0.70x
Gross RVPI (Residual value to paid-in capital)	1.34x	1.04x	1.15x	1.10x	0.88x	1.21x	1.39x
Gross TVPI (Total value to paid-in capital)	1.38x	1.26x	1.36x	1.33x	1.11x	1.74x	2.09x
Net to LPs:							
Net IRR	28.1%	15.8%	13.6%	8.4%	1.1%	11.7%	15.7%
DPI (Distributions to paid-in capital)	0.04x	0.21x	0.19x	0.21x	0.22x	0.49x	0.60x
RVPI (Residual value to paid-in capital)	1.17x	0.94x	1.03x	0.99x	0.81x	0.99x	1.14x
TVPI (Total value to paid-in capital)	1.20x	1.15x	1.22x	1.19x	1.03x	1.48x	1.73x

Historical Fund Performance (TVPI)



* Includes recallable capital

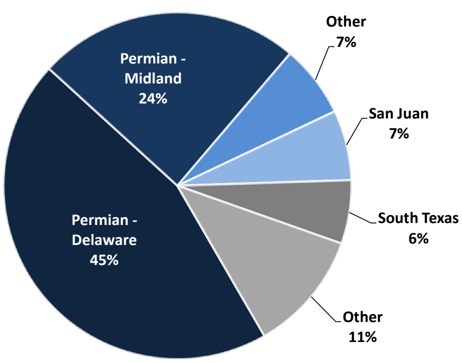
Projected Contributions and Distributions as a Percentage of Commitment

	2022	2023	2024
Contributions	5%	5%	0%
Distributions	20%	30%	30%

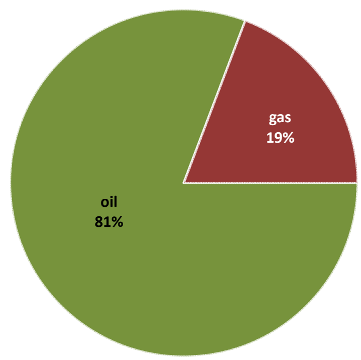
Portfolio Review and Discussion of Recent Transactions

Fund Capital Allocation

Fund X Capital Invested By Basin (Unrealized)

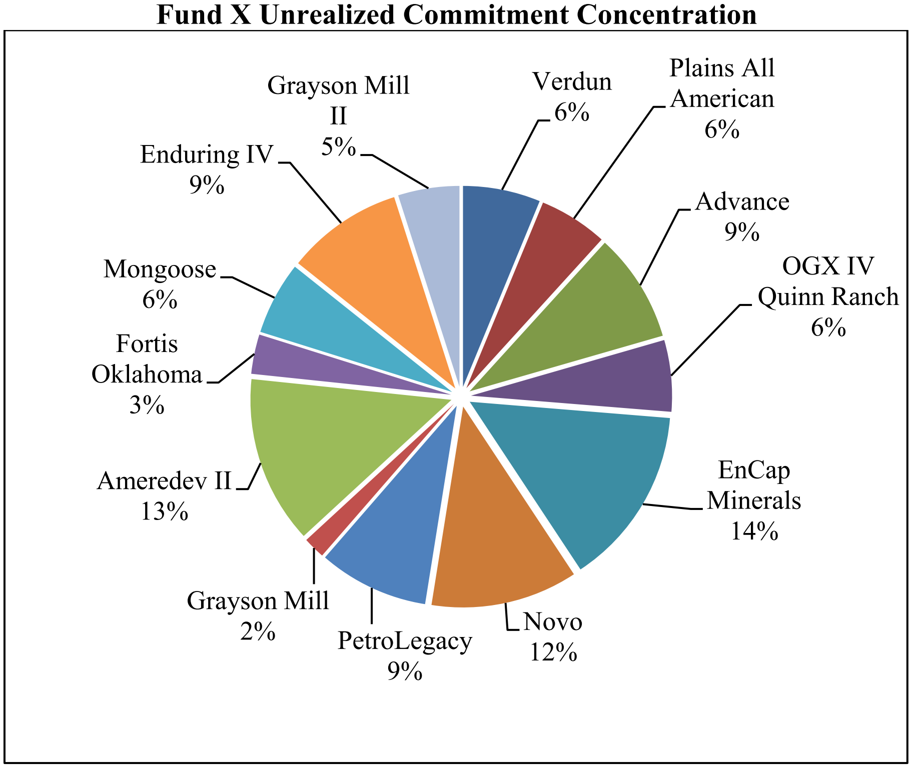


Fund X Oil & Gas Mix (Unrealized - Investment Weighted)



gas @20:1 mcf/bo
NGL's included in oil @0.6bbl/bo

Fund X Unrealized Commitment Concentration



Significant Events and Transactions

Moda	-	Continued to advance ongoing discussions with multiple parties to provide ammonia logistics at VMH as part of a strategic initiative to expand their existing hydrogen footprints; achieved its first volume-based earn-out related to the sale of IEC to Enbridge, which resulted in an additional $50 million of proceeds ($2.6 million net to Fund X)
Felix II	-	Continued to opportunistically sell and receive dividends from DVN shares
Verdun	-	Assembled ~33,600 net acres across the Eagle Ford trend with production performance from operated wells exceeding management's type curve expectations; also amassed a ~59,200 net acre position targeting the Austin Chalk formation
Plains All American	-	Announced quarterly cash dividends ($6.7 million net to Fund X) on Fund X's preferred equity investment
Advance	-	Assets are now managed by Ameredev II, another Fund X company, as part of a broader Delaware Basin consolidation; currently running a two-rig development program
Novo	-	Assembled ~16,700 net acres, largely HBP, and ~9,500 NRAs in the northern Delaware; continued running a 3-rig development program; made second distribution of $25 million in March 2022
OGX IV	-	Meaningful development of mineral interests on Quinn Ranch now occurring
PetroLegacy II	-	Assembled ~25,000 net acres in Martin County, Texas; continued to evaluate mineral acquisitions and water-related infrastructure opportunities for company's development program and third party volumes; continued 2-rig development program
Grayson Mill	-	Monitoring operated Powder River Basin well results and expect to continue development in Q3 2022
Ameredev II	-	Assembled ~34,100 net acres in the Northern Delaware Basin and continued to run an active development program given the current constructive commodity price environment
Mongoose	-	Assembled ~10,000 net acres in Pecos County; assets managed by Forge II going forward
Enduring IV	-	Continued running a one rig program with tailwinds from recent cost and debt reduction measures and commodity prices
Fortis-OK	-	Remaining Fortis I and II Anadarko Basin assets excluded from EnCap Minerals; currently being managed under a separate MSA with the Pegasus management team; engaged TPH to market the assets

Grayson Mill II	-	Continued to execute on a significant capital program and make recurring distributions from operating cash flow; sold non-core Montana assets for $71 million
EnCap Minerals	-	Made ~$97.5 million in distributions; current industry activity and strong commodity prices should translate to cashflow growth for the entity in 2022

Environmental, Social and Governance Highlights

During the due diligence phase of our investment process, EnCap ensures that the prospective management team members are fully aligned with EnCap's Environmental, Social and Governance ("ESG") building blocks prior to making the investment decision. Upon partnering with a new team, EnCap requires each portfolio company to have a likeminded ESG policy and supporting policies and procedures in place. In addition, EnCap requires each portfolio company to report on significant ESG issues and provide details of ongoing ESG developments during each quarterly Board meeting. This information is used by EnCap to quantitatively measure ESG activities and the impact on the performance of each portfolio company.

During Q1 2022, EnCap managed Fund X in accordance with ESG policies. There were no material changes to the ESG risks and opportunities facing the portfolio, and there were no material ESG incidents to report during the quarter.

Additionally, refer to our second EnCap Sustainability Report – Upstream Portfolio Companies and EnCap Sustainability Report – GP covering 2020 available on our FIS DX website.

Other Reporting Matters

In addition to this report (which contains all fund financial statements in Section IV), the following reports net to each Limited Partner are available on our Investran DX website:

1. Statement of Partner's Capital, including allocation of the following:
    a. Management fees
    b. Net operating income (loss)
    c. Realized gains (losses)
    d. Unrealized gains (losses)
    e. Unrealized incentive allocation
    f. Incentive payments to the GP
    g. Contributions paid
    h. Distributions received
    i. Recallable distributions received
    j. Tax withholdings, if applicable
    k. Portfolio company summary cash flows

2. Status of Payout

3. ILPA Fee and Expense Reporting Template

Other reporting available on our Investran DX website includes:

1. Cash call and distribution notices

2. Quarterly management fee calculations

3. Supplemental fund and portfolio company information (available 45 days after quarter end; 105 days after year end)

    a. Fund organization information
    b. Portfolio company organization information
    c. Portfolio company financial information

4. Supplemental Schedule of Investments

5. All tax reporting

6. Annual audited financial statements

7. Advisory Board presentations

8. Legal documents

Please contact Katherine Cangelosi at Kcangelosi@encapinvestments.com if log on assistance is needed

Section II: Industry Overview

Crude Oil Overview

Crude spot prices ("WTI") and fundamentals continued to remain strong during the quarter, increasing and settling at $107.55/Bbl, a 43% increase QoQ and an 82% increase YoY. Oil prices achieved their highest levels since 2014 during the quarter due to 1) oil demand ramping to near pre-Covid levels despite continued reduced air travel and Chinese Covid lockdowns 2) significant supply disruptions related to the Russia/Ukraine conflict 3) years of industry underinvestment 4) historically low inventories and 5) the absence of an Iranian nuclear deal. Most analysts expect that OPEC+ will remain on its tapering track with the announcement of a 432MBbl/d quota hike (beginning in June) likely at its upcoming May 5th meeting. The Biden administration however continues to lobby Saudi Arabia and the UAE aggressively for a faster tapering pace. If the Biden administration succeeds in convincing Saudi Arabia and the UAE to taper faster, any bearish impact would likely be short-lived as long as 1) Russian/Ukrainian disruptions persist 2) Chinese Covid lockdowns ease in 2022 and 3) material demand declines elsewhere do not materialize. Many analysts now believe a number of bullish supply risks could appear in H2 2022 and propel crude prices even higher, namely 1) Libya's fragile peace continuing to unravel 2) strong bipartisan backlash against easing Venezuelan sanctions 3) diminished hope for an Iranian nuclear deal in 2022 and 4) an anticipated reduction in Iraq production in 2022. These rising geopolitical risks should more than offset any continued Strategic Petroleum Reserve (SPR) releases from the U.S. and other IEA member countries.

Natural Gas Overview

Natural gas spot prices ("Henry Hub") continued to ramp during the quarter finishing up 39% QoQ and 111% YoY. Subsequent to quarter-end, natural gas prices have continued to ramp, increasing to their highest levels since 2008. Natural gas prices however remain volatile with the front of the strip curve hovering in the ~$6.50/MMBtu range and the back of the strip curve hovering in the ~$4/MMBtu range. The natural gas market has continued to remain tight as 1) strong inelastic power demand and 2) strong LNG and Mexican exports continue to prop-up pricing. On the supply side, constraints from 1) reduced storage inventories 2) lower anticipated domestic production and 3) expected continued industry capital discipline should also be bullish for natural gas prices. Any increased geopolitical tensions between Russia and Ukraine would also likely lead to materially higher gas prices and LNG exports in the near-term. Medium to long-term fundamentals remain strong as the world continues to transition to cleaner sources of fuel.

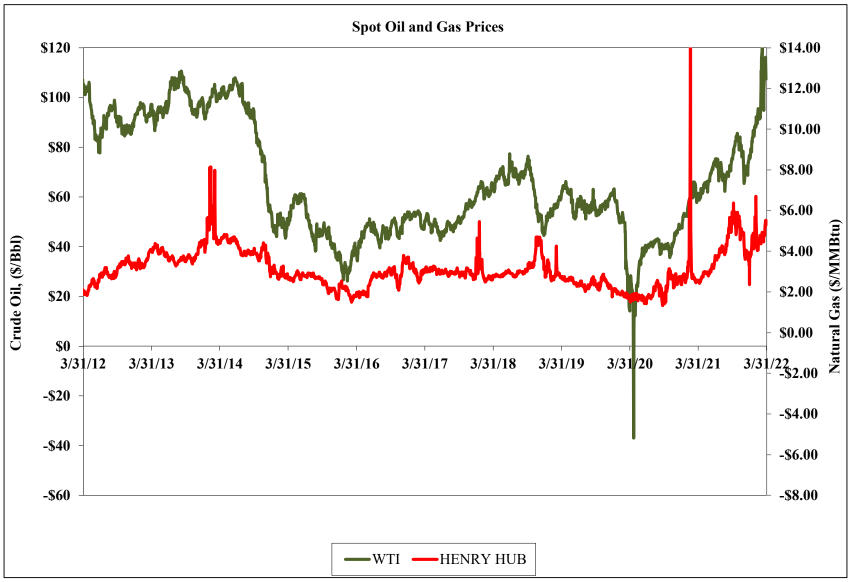


Figure 1: Oil & Gas Spot Prices

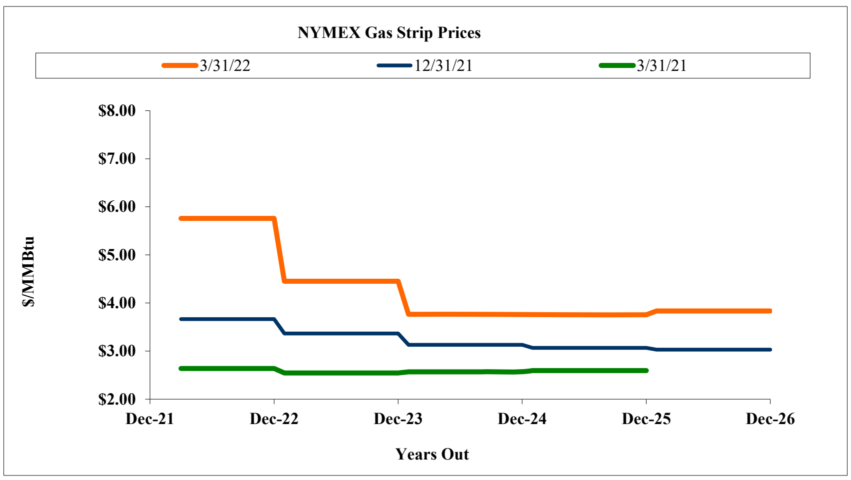


Figure 2: Natural Gas (Henry Hub) Strip Prices

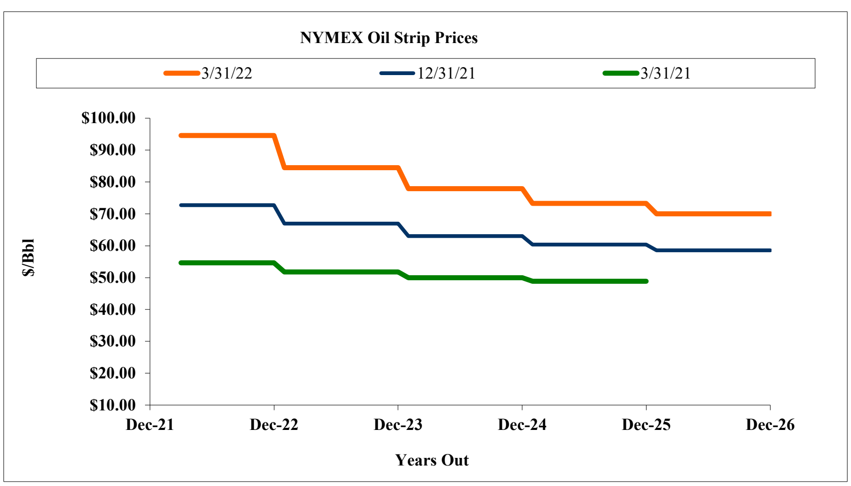


Figure 3: Crude Oil (WTI) Strip Prices

Drilling Activity

During Q1 2022, the total U.S. rig count (as measured by Baker Hughes) increased 14% QoQ to 670 rigs. This total rig count represented an increase of 61% YoY. The U.S. total natural gas rig count finished the quarter at 137 rigs, up from 106 rigs running at the end of Q4 2021. Year-over-year, the U.S. total natural gas rig count finished up 49%. The U.S. total oil rig count increased 11% during Q1 2022, moving from 480 rigs at the beginning of the quarter to 531 rigs at quarter-end. Year-over-year, the U.S. total oil rig count is up 64% or ~207 rigs.

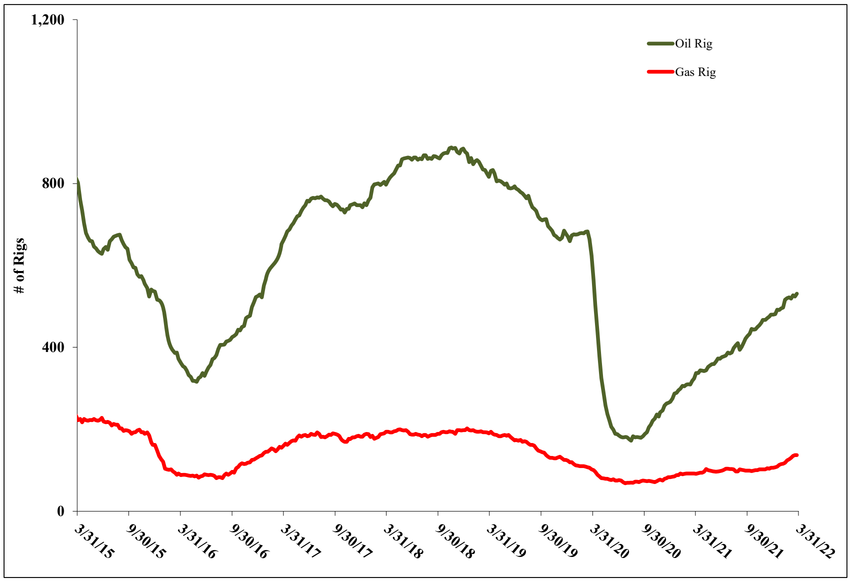


Figure 5: U.S. Total Onshore and Offshore Rig Count

M&A Activity

The U.S upstream M&A market started off 2022 very strong with over $6 billion in transactions in January for the hottest start in five years. A strong January was enough to propel Q1 2022 total deal values to over $14 billion, before the A&D market evaporated in mid-March as buyers and sellers hit the pause button to digest ramping commodity prices. The early part of Q1 2022 was largely dominated by private equity exits, while March saw the first public-public merger (Oasis/Whiting) since the summer of 2021. Bid/ask spreads continued to ramp during the quarter as commodity prices increased. A significant backlog of assets is expected to come to the market over the course of 2022 to try and take advantage of higher commodity prices. Industry access to the capital markets to fund transactions remains limited and the equity markets remain essentially closed. The three largest transactions during the quarter were 1) Oasis' and Whiting's merger of equals for $3.9 billion 2) Chesapeake's acquisition of Chief's Marcellus assets for $2.6 billion and 3) Desert Peak Minerals' and Falcon Minerals' merger for $1.4 billion.

Report Sources: Enverus, Baker Hughes, Rapidan Energy Group, and U.S. Energy Information Administration.

EnCap Energy Capital Fund X

Section III: Portfolio Companies

1. SOUTHLAND ROYALTY
2. GRENADIER ENERGY PARTNERS II
3. AMERICAN RESOURCE DEVELOPMENT
4. TALON OIL & GAS III
5. MODA MIDSTREAM
6. STAGHORN PETROLEUM II
7. FELIX ENERGY II
8. VERDUN OIL
9. PLAINS ALL AMERICAN PIPELINE
10. RAISA ENERGY II
11. ADVANCE ENERGY
12. NOVO OIL & GAS
13. OGX HOLDING IV-QUINN RANCH
14. PETROLEGACY ENERGY II
15. GRAYSON MILL ENERGY
16. ROYAL HOLLY
17. AMEREDEV II
18. FORTIS-OKLAHOMA
19. MONGOOSE
20. STAGHORN PETROLEUM III
21. OLIFANT
22. ENDURING IV
23. GRAYSON MILL II
24. ENCAP MINERALS

Valuation Assumptions

Valuations have generally been determined as follows (subject to adjustment for particular circumstances and review by the Advisory Board):

1) Private equity securities and mineral interests held during the initial investment period are valued at cost (which is considered fair value) until such time as there is a measurable change in fair market value based upon the assumptions below.

2) Private equity exploration and production investments held after the initial investment period (generally longer than twelve months unless an expansion from an earlier fund) are valued at the risk adjusted PV10 of the future cash flow stream. The future cash flow stream is based on third party engineered projections applying the NYMEX forward strip pricing as of the valuation date.

   The reserve categories were generally risked as follows:
   a. PDP – no discount applied
   b. PDNP – a 20% discount applied
   c. PUD – a 40% discount applied
   d. Probable – a 80% discount applied
   e. Possible – a 90% discount applied

   The average NYMEX strip prices by year as of March 31, 2022 were as follows:

	$/BO	$/MMBTU
2022	94.52	5.76
2023	84.48	4.45
2024	77.86	3.77
2025	73.27	3.76
2026+	70.01	3.84

   Unevaluated oil and gas leaseholds and other operating assets, such as gathering systems and processing plants, are valued in consideration of the original acquisition price and more recent public or private transactions in similar assets.

3) Non-producing and early stage mineral interests and ORRIs are valued at precedent transactions or discounted cash flows if underlying third-party reserve reports are available. Mature producing mineral interests and ORRIs are valued using a cash flow multiple of actual trailing 12 month cash flow. The cash multiple utilized is derived by taking into consideration market and asset specific factors including, but not limited to: location; life cycle or maturity of the asset; projected growth profile; precedent transactions; and comparable public market trading multiples.

4) Preferred equity investment in PAA valued using the “if converted” method (including accrued PIK units). As of quarter end, PAA was trading below the conversion price so the valuation is held at the $26.25/unit grant price. Additionally, PAA announced it will be paying a quarterly cash distribution of $0.525/unit to all Series A preferred unitholders.

5) Staghorn II and III remaining value includes mineral acreage and ORRI’s, deferred payments, Tall Oak Woodford JV deferred sales proceeds and net working capital.

6) Felix II is valued based on Devon Energy (NYSE:DVN) common units (9.075 MM) valued at the quarter end share price of $59.13/share.

7) Moda is valued based on the earnout per the terms of their sale agreement plus the VMH assets at cost.

8) Raisa is valued based on the expected indemnity holdbacks per the terms of their sale agreement.

Note: Valuation assumptions 1) through 8) as presented above apply to all investments currently held by Fund X. The remaining assumptions constitute the standardized valuation methodology to potentially be applied in future periods and are provided for informational purposes only.

9) Non-restricted public securities are valued at the quoted price at the end of the quarter.

10) Subordinated and restricted public securities (assuming adequate float) are valued at 90% of the quoted price at the end of the quarter.

11) Debt securities are valued at the face amount of the note plus accrued interest (less any reserve for uncollectible amounts or credit risk discounts).

12) Other private/public equity securities with limited trading volume are valued based on relevant factors including NAV, comparables, significant events, etc.

Southland Royalty Company, LLC

Fully Realized

Company Description

Southland Royalty Company is a privately-held, Fort Worth-based independent oil and gas company focused on building an attractive asset base through an acquisition strategy focused on a variety of domestic unconventional basins. The Southland management team consists of Bob Simpson (Chairman), Keith Hutton (CEO), Vaughn Vennerberg (President), Timothy Petrus (EVP – Acquisitions) and Brent Clum (CFO). The majority of senior management has worked together for over 27 years and has substantial experience operating in numerous onshore domestic conventional and unconventional basins. This team was the core group responsible for making over $15 billion in oil and gas acquisitions that created the basis for XTO's approximately $41 billion sale to Exxon in 2009. Southland's strategy is to acquire producing, operated oil and gas assets in areas with multiple rich source rocks targeting a series of known productive zones with stacked pay potential and grow production and reserves through efficient management of operations as well as through development, exploitation and exploration.

Transaction Summary

In February 2015, Fund IX committed $431.2 million, Fund X committed $646.8 million and management committed $22.0 million, providing a total equity commitment of $1.1 billion to the company. The investment is structured in the form of common equity with the EnCap funds receiving 98% of distributed cash until an 8% IRR and 1.00x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

On March 31, 2015, management closed on the acquisition of Energen's San Juan Basin asset for $395 million. The asset consists of ~205k net acres (99% HBP, 85% operated) located on the border of Colorado and New Mexico. At the time of the acquisition, Southland's purchase price was fully-underpinned by PDP value with numerous upside opportunities, several of which are economic even at depressed commodity prices.

On June 30, 2016, management closed on the acquisition of Anadarko's Green River Basin asset for $610 million. The asset consisted of ~320k net mineral acres and ~34k net leasehold acres (99% HBP or Mineral Ownership) located in southern Wyoming. At the time of the Green River Basin acquisition, the purchase price was predominantly underpinned by PDP value with numerous upside opportunities, several of which are economic even at depressed commodity prices.

In Q4 2016, EnCap and Morningstar (entity majority owned and controlled by Southland management) completed a sell-down of ~$132 million to reduce EnCap's overall exposure to Rockies gas. The sell-down allowed Morningstar to increase its commitment from 2% to 20%, which improves the alignment between EnCap and Southland management. The new commitment amounts are as follows: $352 million from Fund IX, $528 million from Fund X and $220 million from Morningstar.

Southland filed an amended plan of reorganization during the first quarter of 2021, and the plan was approved during the second quarter of 2021. There was no impact to the Fund due to the wind-down of Chapter 11 proceedings.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Mar-15	$465,503	$0	$0	$0	0.00x	N/A

Grenadier Energy Partners II, LLC

Fully Realized

Company Description

Grenadier II is a Houston based, privately held oil and gas company founded by the Grenadier I management team led by Pat Noyes, former President and CEO of Stroud Energy. Grenadier I was formed in April 2007 following the sale of Stroud Energy, which generated a 98% IRR and 3.1x IRR on Fund IV's $27 million investment. In Grenadier I, management built a highly attractive, blocked-up acreage position in the Marcellus Shale consisting of approximately 16,400 net acres in Wetzel County, West Virginia which it ultimately sold to Statoil in December 2012 for total returns net to Fund VI of 1.7x ROI and 26% IRR. In Grenadier II, management is focusing on a lease-and-drill strategy in known producing onshore U.S. basins.

Transaction Summary

In August 2012, Grenadier II was formed with a $340 million equity commitment comprised of $200 million from EnCap Fund VIII, $133 million from Kayne Anderson, $6 million from management and $1 million from a passive co-investor. The structure and economic sharing ratios are similar to the prior Grenadier structure, providing the investor group with 98.0% of the available cash until an 8% IRR and 1.25x ROI is earned; thereafter distributions will be allocated on a graduated basis until higher IRR and ROI targets are met. EnCap and Kayne Anderson have full board control with EnCap's approval required for all material board decisions.

In May 2015, EnCap Fund VIII moved $150 million of its $200 million commitment to EnCap Fund X to free up capital for Fund VIII and to allow Grenadier II's growth timeline to be better aligned with that of Fund X given the early stage nature of the investment.

Post-Investment Activity

After targeting a number of domestic basins, Grenadier II chose to focus on building a position in North Louisiana targeting the Cotton Valley interval and the company built a ~40,000 acre position. Grenadier II drilled and completed two science wells to test the acreage and gather core and log data; however, these initial test wells did not demonstrate economic results in the current price environment. In Q2 2017, Grenadier sold its assets in North Louisiana in order to shift capital and focus to the Permian.

In Q4 2016, Grenadier shifted its focus from North Louisiana to the Midland Basin through the successful negotiation of a farm-in arrangement with Occidental Petroleum covering ~7,000 net acres in Howard County offsetting attractive drilling results from operators including SM Energy, Surge and Sabalo.

In Q3 2017, Grenadier negotiated a deal to buy out Occidental Petroleum's interest in the Howard County JV for $42.5 million. This transaction, combined with greenfield leasing, bolt-on acquisitions and acreage trades, has scaled Grenadier's current Howard County acreage position to ~21,000 net acres. The company initiated a delineation program in late 2017 and has drilled and completed multiple operated horizontal wells to-date in the Wolfcamp A and Lower Spraberry zones with positive early-time results. Additionally, substantial industry activity offsetting Grenadier's acreage position has demonstrated encouraging results as the play continues to be de-risked to the east. Grenadier has also participated in a number of non-operated wells on its acreage position with positive results from those wells.

In Q1 2021, Grenadier closed on the sale of ~18,000 net acres and ~9,000 boepd (75% oil), which represents substantially all its assets to Surge Energy for $420 million of cash consideration. Surge funded a 10% cash deposit ($42.0 million) into an escrow account which was converted into the holdback amount at closing on March 31, 2021. 50% of the holdback was released after six months, with the remaining distributed prior to YE 2021. Estimated proceeds from the sale, inclusive of the holdback and after accounting for debt and other miscellaneous purchase price adjustments, will generate a 1.4x cash-on-cash ROI net to Fund X.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-15	$100,778	$145,396	$0	$145,396	1.44x	8.6%

American Resource Development LLC ("Ameredev")

Fully Realized

Company Description

Ameredev is a privately-held, Austin-based independent oil and gas company focused on the identification, acquisition and development of oil and gas assets in the Permian Basin. The Ameredev management team is led by Parker Reese (President), Floyd Hammond (VP-Operations), Eric Rhoden (VP-Geology), Noah Bramble (Land Manager), and Ron Zboril (CFO). Mr. Reese was formerly with Three Rivers Operating Co., where he played an active role in evaluating, capturing and developing their Permian position which, through accretive acquisitions and strategic sales, ultimately resulted in a ~3.0x ROI for its investors. Previously, Mr. Reese was employed by Cimarex Energy and ConocoPhillips where he gained valuable experience in the Delaware Basin, Anadarko Basin and Gulf Coast. The team shares a similar mindset with EnCap relative to risk management, capital allocation and opportunity capture. Ameredev will implement an acquire and develop strategy with a focus in the Permian Basin

Transaction Summary

In May 2015, Fund X committed $247.5 million and management committed $2.5 million, providing a total equity commitment of $250.0 million to the company. The investment is structured in the form of common equity with Fund X receiving 99% of distributed cash until an 8% IRR is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Shortly after inception, management identified the Delaware Basin as a focus area due to its strong geologic merits, stacked pay potential, infancy of play compared to the Midland Basin and the team's historical operational experience in the area. In September 2015, management began PSA negotiations to acquire 3,128 net Wolfcamp acres in Ward County from a distressed seller. This acreage was located in the core of the Delaware Basin, targeting primarily the Wolfcamp A (with potential upside in four additional zones) and included a low pressure gathering and processing system serving the asset. After a drawn-out PSA negotiation, the acquisition ultimately closed in May 2016 for a purchase price of $86.0 million ($49.0 million less than initially agreed to amount).

Though the competitive landscape in the Delaware Basin increased significantly post-closing of their initial acquisition, management was able to successfully bolt-on additional offset acreage, primarily through greenfield leasing activities, ultimately amassing 15,413 net Wolfcamp acres and 2,116 net royalty acres (normalized to a 12.5% royalty burden) in Ward and Pecos Counties, Texas.

On December 13, 2016, Callon Petroleum ("Callon") publicly announced the acquisition of Ameredev for $615.0 million in cash, implying a dollar per acre purchase price of $33,672/net Wolfcamp acre after accounting for PDP value, assuming $40,000 per flowing Boe/d (based on net daily production of ~1,945 Boe/d) and $18.4 million for gas gathering, infrastructure and saltwater disposal wells and facilities. After escrow realease, and after accounting for debt and other miscellaneous purchase price adjustments, Ameredev received $588.2 million of cash proceeds from the sale of the company's assets to Callon, resulting in distributions to Fund X of $487.5 million.

In Q1 2020, Ameredev closed on the sale of substantially all of its remaining ORRI and mineral assets not included in the Callon sale ($21.6 million net to Fund X).

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-15	$168,300	$514,432	$0	$514,432	3.06x	273.2%

Talon Oil & Gas III LLC

Fully Realized

Company Description

Talon III is a privately held, Dallas-based independent oil and gas company formed by a team of oil and gas professionals led by Grant Henderson. The team initially partnered with EnCap Fund VI in January 2007 and pursued an acquire-and-exploit strategy focused on proved reserves with identifiable upside, principally in the Barnett Shale and Texas Panhandle. Subsequently, Talon I sold its Barnett Shale and Texas Panhandle assets to EnerVest and Devon, respectively, providing EnCap Fund VI with a 66% IRR and 2.7x ROI on its $136 million investment in the properties. The team subsequently partnered with EnCap Fund VIII in December 2010 with the goal of replicating Talon I's acquire-and-exploit strategy/success; however, it became apparent after more than a year of screening acquisitions that the company needed the ability to also pursue lease-and-drill assets. This led to a merger with Elephant Oil & Gas, an organization with the experience and know-how to source and capture resource play opportunities. The company subsequently established a position in three emerging resource plays, the East Texas Eagle Ford, the Cline Shale and the North Texas Caddo. Talon II's only remaining asset is a non-operated joint venture with EnCap-backed Venado Oil & Gas that requires minimal oversight. Talon II further supplemented its team in order to pursue new opportunities, and EnCap decided to provide the team with a new commitment via Talon III out of Fund X in order to (i) more adequately capitalize the team to pursue larger, strategic acquisitions and (ii) better align the timeline of future assets with the rest of the fund in which they will be housed.

Talon III management team is comprised of key individuals from Talon I and II, including Grant Henderson, Chris Jackson and Elephant Oil & Gas co-founders Bradley Williams and Nick Varel along with three additional team members that were not a part of Talon I and II (Tom Grace – Managing Partner, Ops. & Finance, Kevin Walsh – EVP - Engineering and Kevin Schepel – EVP - Geoscience & Technology). Talon III will target stacked-pay basins with both conventional and unconventional development potential and a diverse hydrocarbon stream.

Transaction Summary

In May 2015, Talon III was formed with a $300 million total equity commitment comprised of $281 million from Fund X, $16 million from co-investors and $3 million from the management team. The investment is structured in the form of common equity with the investor group receiving 99% of the available cash flow until an 8% IRR is earned; thereafter, distributions are allocated on a graduated basis as IRR targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In Q4 2016, Talon III exercised an option to buy-in to ~1,400 net acres in Lea & Eddy Counties, New Mexico from Black Mountain Oil & Gas for ~$11 million. The option was negotiated in 2015 in exchange for the company providing leasing opportunities to Black Mountain as Talon III sought out acquire-and-exploit opportunities in other areas.

On March 18, 2017, Talon III and NGP-backed Black Mountain Oil & Gas signed a PSA with Marathon Oil to sell ~21,000 net acres and associated production in the northern Delaware Basin for $700 million in an all-cash transaction, with ~$75 million of value allocated to Talon III's acreage. The transaction closed on June 1, 2017. In addition to the $51 million of distributions at close, Fund X received additional proceeds of ~$4 million related to holdbacks for ~$55 million of total distributions, which equates to a 4.0x ROI on Fund X's total investment in Talon III of $13.9 million.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-15	$13,910	$57,640	$0	$57,640	4.14x	243.5%

MODA Midstream LLC

Substantially Realized

Company Description

Moda Midstream ("Moda") is a privately-held, Houston, Texas-based midstream company led primarily by the former management team of Oiltanking Partners, L.P. ("Oiltanking") and other industry veterans, including Jon Ackerman, Bo McCall and Javier del Olmo. In early 2018, Ken Owen, the former CEO, decided to retire as CEO and was replaced by Bo McCall. Moda Midstream is focused on becoming the crude oil logistics provider of choice for an expanding, diversified customer base in North America and the surrounding geographic area. Potential customers for Moda's downstream-focused midstream distribution system include major diversified energy companies, petrochemical companies, waterborne markets and other pipeline distribution systems.

Transaction Summary

In March 2015, EFM III committed $445.5 million to Moda. Combined with a group of EFM Co-Investors' (including EnCap Energy Capital Fund X) commitment of $297.0 million (together with EFM III, the "Investor Group") and management's commitment of $5.6 million, the company had a total equity commitment of $748.1 million. In conjunction with the Ingleside Energy Center acquisition in Q3 2018, the commitment to Moda Midstream was expanded from $748.1 million to $1.9 billion from the following investors:

- EFM III: $445.5 million
- EFM IV: $487.5 million
- EFM Co-Investors: $815.1 million
- EnCap Energy Capital Fund X: $124.9 million
- Management: $14.2 million

The investment is structured in the form of common equity, with the Investor Group receiving ~99.2% of distributed cash until an 8% IRR and 1.0x ROI is earned; thereafter, distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EFM holds a majority position on the Board of Managers.

Post Investment Activity

Moda finalized a terminal opportunity with its first joint venture partner in Q1 2016 to develop a crude oil and clean products hub in Houston, Vopak Moda Houston ("VMH"), with plans to include storage, multiple vessel berths and pipeline connectivity. During Q3 2016, a second joint venture terminal opportunity was created with a new partner focused on St. James, Louisiana, Ergon Moda St. James ("EMSJ").

In September 2018, Moda closed on the acquisition of the Ingleside Energy Center ("IEC") and certain crude and LPG infrastructure from Occidental Petroleum Corporation (NYSE: OXY). Simultaneous to Moda's acquisition of the Ingleside Energy Center, Lotus closed on the acquisition of the Centurion and SENM gathering systems from OXY for a combined purchase price of $2.6 billion.

Ingleside was located near the mouth of the Corpus Christi Ship Channel with minimal transit times to the Gulf of Mexico. The terminal linked the Permian and Eagle Ford through multiple long-haul crude pipelines. IEC was designed to handle a wide range of vessels, including very large crude carriers ("VLCCs"), at high loading rates to maximize shipping economics for its customers. IEC had approximately 2.1 million barrels of storage and three deep-water berths for crude oil at acquisition. Since the acquisition, Moda constructed and placed in-service an additional ~13 MMBbls of contracted storage as part of the Phase I – IV buildout bringing total capacity to ~15 MMBbls.

Moda entered into definitive commercial agreements with two investment grade counterparties at its VMH joint venture to provide ammonia storage services and reached FID on the project in mid-2019. The buildout of the facilities is supported by 15-year contracts.

In Q2 2019, Moda entered into definitive commercial agreements with a large, investment grade counterparty to construct infrastructure to transport and store pressurized gas at its VMH joint venture. The proposed buildout will consists of a rail spur, ~14,000 barrels of pressurized gas storage and associated infrastructure. Developing the gas opportunity significantly enhances the development of a terminalling footprint at VMH.

On October 12, 2021, Moda closed on the sale of IEC and other select assets to Enbridge (NYSE: ENB) for a total consideration of $3.15 billion including $3.0 billion in cash at close with the remaining $150.0 million expected to be funded via a volume-based earnout that EFM and Moda believe to be highly achievable. Upon receipt of the earnout, total realized proceeds are expected to be approximately $624.6 million, net to EFM III and approximately $689.6 million, net to EFM IV. The sale resulted in an approximate 16% IRR and 1.5x ROI at close. Upon receipt of the $150.0 million in earnout payments, EFM expects to yield an ultimate return of approximately 18% IRR and 1.6x ROI on an aggregate invested capital of approximately $1.6 billion. Moda retains its 50% interest in VMH, which EFM and Moda view as an exciting platform for future growth.

Recent Events

During the quarter, the team advanced negotiations with a potential customer to provide storage, handling and unloading services for green ammonia imports at VMH. The customer specifically chose Moda because of the facility's existing strategic footprint that was in close proximity to the customer's existing infrastructure. Additionally, the team executed a memorandum of understanding with a potential customer to provide storage, handling and loading of blue ammonia for export to be used as a fuel for power generation and marine shipping.

Moda achieved its first volume-based earn-out related to the sale of IEC to Enbridge, which resulted in an additional $50 million of proceeds.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-15	$112,393	$169,796	$12,522	$182,318	1.62x	17.4%

Staghorn Petroleum LLC

Substantially Realized

Company Description

Staghorn Petroleum ("Staghorn II") is a privately-held, Tulsa-based oil and gas company focused on the pursuit of sizeable, high-growth and/or emerging plays through a combination of (i) producing and non-producing property acquisitions, (ii) grass-roots leasing and (iii) farm-ins or joint ventures. The Staghorn II executive management team consists of Frank Eby (Chairman), James Royal (CEO), Peter Vail (CFO), Ken March (VP of Geology), Jeff Frederick (VP of Asset Engineering) and Richard Eby (VP of Land & Business Development). Each team member has garnered significant industry experience and contacts from past roles at companies including Newfield Exploration, Apache Corporation and Staghorn Energy, LLC ("Staghorn I"). EnCap has known Mr. Eby for over a decade and formalized its partnership with him in 2007 via a $9.3MM equity investment in Staghorn I from Fund VI for a 25% ownership in the company. To date, Fund VI has realized a 2.6x cash-on-cash return on its investment in Staghorn I. Mr. Eby has been able to generate significant value for himself and his shareholders across multiple hydrocarbon price cycles through a strategy of assembling, exploiting and selling E&P assets.

Transaction Summary

In September 2015, Fund X committed $291 million alongside a family and friends' commitment of $3 million and a $6 million commitment from management for a total initial equity commitment of $300 million to Staghorn Petroleum. The investment is structured in the form of common equity with Fund X receiving 97% of distributed cash until an 8% IRR and 1.25x ROI is achieved, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

On March 21, 2017, Staghorn II, Fund VIII-backed Dorado and Fund VI-backed Staghorn I closed on the sale of a combined ~48k net acres and associated production located on the eastern side of the Oklahoma STACK play in Kingfisher/Garfield/Major counties to Apollo-backed Chisolm Oil and Gas Operating, LLC (formerly known as Zenergy Inc.) for $625 million of cash consideration. This transaction provided Fund X with $373 million of total distributions, which implies a 2.3x cash-on-cash ROI (assuming no value given to Staghorn II's retained assets mentioned below) on Fund X's total investment in Staghorn II of $165 million. Additionally, the partial sale of certain Dorado and Staghorn I assets via this transaction allowed Fund VIII and Fund VI to receive total distributions of $121 million and $1.5 million, respectively.

Staghorn II continues to own ~38k net acres located on the western side of the Oklahoma STACK play predominantly in Woodward, Major, Blaine and Dewey counties, as well as ~16k net mineral acres across the broader STACK play. Following the formation of Staghorn Petroleum II, LLC ("Staghorn III"), Staghorn II and Staghorn III entered into a mutually-beneficial joint venture that allows management to continue creating value for the western STACK assets held by Staghorn II, while also adding to that position in Staghorn III.

In Q4 2019, EnCap and JP Morgan sold the working interest assets held in Staghorn II & Staghorn III to management for ~$24mm (~$22mm net to EnCap). The transaction closed in January, and Fund X received net proceeds to Staghorn II of $5.7 million. Fund X retained an undivided 74% interest in the minerals owned by Staghorn II. Going forward, we intend to monitor development activity within our ORRI position and look to opportunistically exit the investment when market conditions justify doing so.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Oct-15	$164,900	$386,054	$5,103	$391,157	2.37x	154.9%

Felix Energy Holdings II, LLC

Substantially Realized

Company Description

Felix II is a privately-held, Denver-based independent oil and gas company focused on the identification, acquisition and exploration of liquids-rich resource plays in various U.S. basins. Felix is led by Skye Callantine (CEO), Craig Willenborg (COO), Bill Arnold (VP-Operations), Michael Horton (VP-Land) and John McCready (CFO). Mr. Callantine was formerly an executive with Chesapeake Energy and was primarily responsible for evaluating, capturing and developing Chesapeake's Eagle Ford, Woodbine and Haynesville Shale positions. While at Chesapeake, Mr. Callantine built and developed Chesapeake's Eagle Ford Shale position from a legacy lease position to over 700,000 net acres and 800 producing horizontal wells. EnCap first partnered with Felix in April 2013 in Felix I and, through Q4 2015, had invested $390 million in equity to: 1) amass 80,000 net acres in the core of the STACK play in Kingfisher, Canadian and Blaine counties, OK, 2) drill wells, 3) develop infrastructure, and 4) purchase mineral and overriding royalty interests in the STACK play. On December 6th, 2015, Felix signed a purchase and sale agreement with Devon ("DVN") to sell the company's upstream assets for total consideration of $1.9 billion.

Transaction Summary

In September 2015, Fund X committed $477.2 million, family and friends of management committed $7.8 million and the management team committed $15.0 million, providing a total initial equity commitment of $500.0 million to the company. Subsequent adjustments to the final commitment related to changes in management and family and friends investors resulted in a final Fund X commitment of $477.0 million. The investment is structured in the form of common equity with the Investor Group receiving 95.40% of distributed cash until an 8% IRR and 1.0x ROI is achieved, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In June 2016, Felix II acquired 36,456 net acres in Winkler and Ward counties for $220.0 million. The position represents a significant foothold in a highly sought after basin that is prospective for multiple formations and has favorable lease terms. Since closing the acquisition in June 2016, the Felix team has actively pursued bolt-on acquisitions to increase scale, further high-grade the acreage position, and increase the number of locations suitable for longer lateral development.

Following the initial acquisition, Felix II amassed ~58,900 net acres primarily in Winkler and Ward counties, Texas. Felix II began a drilling program in early July 2016 and has drilled over 100 wells to-date across six different intervals (Upper Wolfcamp A, Lower Wolfcamp A, Upper Wolfcamp B, Lower Wolfcamp B, 3rd Bone Spring Sand, and 3rd Bone Spring Shale). The company also pursued value-added projects, including the formation of Felix Water, LLC, a subsidiary of Felix that provides water supply and disposal services, as well as its own oil gathering system.

On December 16, 2019, Felix signed a PSA to sell 100% of the company's upstream assets to WPX Energy ("WPX") for total consideration of $2.5 billion. The purchase price consisted of $900.0 million in cash and 152.96 million shares of WPX common stock (~26.6% of the outstanding shares) and closed on March 6, 2020. Per the PSA, 1/3 of the common shares were not subject to lock-up while the remaining shares are locked-up for 180 days post-closing. Felix II also has the right to nominate two board representatives for as long as ownership exceeds 20% and one representative above 10% ownership. In addition to the upstream sale, Felix II sold 100% of their midstream assets to Plains All American for $305.0 million.

On January 7, 2021, WPX completed a merger of equals with Devon Energy. At closing, Felix II owned ~12% of the outstanding shares of the pro forma business, and EnCap retained one board seat.

On January 26, 2021, Felix II signed an agreement to sell its water business for $300 million to an undisclosed buyer. The transaction closed in March. On February 22, 2021 EnCap sold 26,326,096 freely tradeable Devon shares resulting in a distribution of $554 million to Fund X investors. This sale equated to one third of total shares held by Felix II.

Recent Events

Fund X retains meaningful shares in Devon, and EnCap will strategically monetize the remaining shares over time.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Nov-15	$335,323	$1,936,103	$557,725	$2,493,828	7.44x	45.5%

Verdun Oil Company LLC

Company Description

Verdun Oil Company LLC is a privately-held, Houston-based oil and gas company that will pursue the identification, acquisition, and development of oil and gas assets in the United States. The company is led by Tim Nein (President), Daniel Savitz (CFO), Mark Stephenson (Geology), Will Rider (Land/Legal), and Martin Perez (Engineering). Mr. Nein most recently served as the General Manager of Hilcorp Energy's ("Hilcorp") Utica asset, where he led all development functions. Mr. Nein, Mr. Savitz, and Mr. Rider formerly worked together in the New Ventures Group at Hilcorp, where they played a meaningful role in evaluating, capturing, and developing substantial positions across premier basins in the United States. Most notably, this team was involved in or an integral part of the evaluation, capture, and ultimate sale of Hilcorp's 141,000 net acre Eagle Ford position to Marathon Oil Corporation (NYSE: MRO) in June 2011 for $3.5 billion. Verdun will implement an acquire and develop strategy with a focus on partially de-risked, statistically proven oil-weighted properties located in South and West Texas. The team will concentrate primarily on making acquisitions with a steady production base in areas with the highest quality rock and a sizeable inventory of repeatable development opportunities located in an industry-friendly environment.

Payrock II Holdings, LLC ("PayRock II") was a privately held, Oklahoma City based independent oil and gas company focused on the acquisition and exploitation of assets within the Anadarko Basin. PayRock II was led by Rick Kirby (CEO), Steve Henley (VP Operations), and Chad Ford (VP Land). EnCap first partnered with PayRock in November 2012 in PayRock I and, through Q2 2016, had invested $135 million in equity to amass ~61,000 net acres in the core of the STACK play in Kingfisher, Canadian, and Blaine counties, Oklahoma, drilled 35 operated wells, and participated in over 65 non-operated wells. On August 1, 2016, PayRock I closed on the sale of their 61,000 net acre position and ~9,000 Boe/d of production to Marathon Oil Corporation (NYSE: MRO) for an all-cash consideration of $887.5 million. Prior to forming PayRock, the team worked together at SandRidge and was involved in the company's initial entry into the Mississippi play where they were responsible for drilling over 250 wells in the area.

Transaction Summary

In December 2015, Fund X committed $247.5 million to Verdun and management committed $2.5 million, providing a total equity commitment of $250.0 million. The investment is structured in the form of common equity, with Fund X receiving 99% of distributed cash until an 8% IRR and 1.0x ROI is earned; thereafter, distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

In August 2016, Fund X committed $190.0 million to PayRock II and management committed $10.0 million, providing a total equity commitment of $200.0 million. The investment is structured in the form of common equity, with Fund X receiving 95% of distributed cash until an 8% IRR and 1.0x ROI is earned; thereafter, distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

In December 2019, EnCap closed on the consolidation of Payrock II's Eagle Ford upstream assets under the management of Verdun. The assets consist of ~11,500 net acres in La Salle and McMullen County of the Eagle Ford trend. Payrock II had drilled and completed three Lower Eagle Ford wells in order to delineate and prove up the leasehold position. The combined assets have an unfunded equity commitment of $108.9 million which includes the release of $121.6 million of Payrock II's remaining commitment.

Post Investment Activity

In October 2016, Verdun closed on the acquisition of 9,286 net acres and 38 horizontal Eagle Ford wells, collectively producing ~1,785 Boe/d (57% oil, 78% liquids), from Noble Energy, Inc. (NYSE: NBL) for $68.2 million. The acreage was 54% HBP and located primarily in La Salle and Dimmit Counties, Texas. The $68.2 million purchase price was underpinned by $52.6 million of proved undeveloped value. The primary upside identified by management was the increased resource recovery and return potential of the Eagle Ford through the application of modern completions.

In May 2017, Verdun closed on a second Eagle Ford acquisition from Noble Energy including ~1,900 net acres, 573 Boe/d (78% oil) of current production, and approximately $20 million of PDP PV-10 for a $52.0 million upfront cash payment plus a $12.0 million contingency payment if WTI averages at or above $55.00/bbl over three months in the next 18 months. The acreage was 100% HBP and located in the core of the Eagle Ford trend in DeWitt and Gonzales Counties, Texas. Pro forma for this acquisition, Verdun had accumulated approximately 12,700 net acres across the Eagle Ford.

Subsequently, in September 2017, Verdun closed on an Eagle Ford acquisition from BHP including of 2,641 net acres, 1,230 Boe/d of current production, and approximately $16 million of PDP PV-10 for $30 million. The acreage was 100% HBP and located in the core of the Eagle Ford trend in Live Oak County, Texas, offsetting Verdun's existing Lopez Ranch acreage. Pro forma for this acquisition, Verdun has amassed approximately 15,340 net acres across the Eagle Ford.

In March 2018, Verdun closed on the acquisition of ~2,200 net acres in the McMullen County oil window from BP (NYSE: BP) for $28.0 million. The majority of the acreage is undeveloped and has a highly attractive ~82% NRI. Subsequently in April 2018, Verdun closed on the acquisition of ~5,500 net acres and ~600 Boe/d of production in Live Oak and Karnes Counties, TX for $110.0 million from ConocoPhillips (NYSE: COP). The acreage is 100% HBP with an average 86% WI and 65% NRI and is oriented in a way that allows for long lateral development.

In October 2018, Verdun executed G&P partnership agreements with Aspen Midstream, LLC ("Aspen"), a portfolio company of EnCap Flatrock Midstream Fund III, to form Aspen Midstream Partners Holdings ("AMP") which will initially be owned 100% by Aspen and subject to Verdun's option to acquire up to 25% by July 2019. Aspen Management is engaged in commercial discussions with various third party producers and has commenced the initial design and construction of a rich/lean gas gathering and treating system, a residue gas pipeline ("AMP Intrastate Pipeline") connecting the gathering system to a gas storage and distribution hub in Katy, Texas and purchased a processing plant ("Battle Horse Plant").

In December 2019, Verdun signed a PSA to acquire PayRock II Holdings LLC, a Fund X company, for $6.0 million. The assets included approximately 11,000 net acres in the Eagle Ford with PDP PV-10 of $6.0 million. The acquisition was funded by a subordinated unsecured note issued by EnCap Fund X.

In Q2 2020, Verdun signed an agreement with EnCap to manage Protégés Eagle Ford assets on behalf of Fund IX. Protégé will pay to Verdun a management fee of $3 MM a year, with annual redeterminations going forward.

Prior to the commodity price downturn, Verdun had positioned the company to make distributions to equity holders within cash flow. Management made their first distribution in Q4 2019 and two distributions prior to suspending the program in response to low prices. In Q4 2020, after sufficiently reducing leverage, Verdun restarted their distribution program.

Recent Events

Verdun continues to develop its extensive asset base within cash flow. We expect Verdun to continue to make distributions while maintaining a modest leverage profile.

Additionally, in order to capitalize on a strong gas price environment and unlock locations for development that are not otherwise contemplated in the Verdun drilling program, Fund X has entered into a drilling joint venture. Under the terms of the JV, Fund X will fund 100% of the capital obligations for wells drilled in the Chalk JV area and Fund X will receive all of the cash flow from the JV until it achieves an 8% rate of return, at which point Fund X will receive 80% of the remaining cash flows and Verdun Oil Company will receive 20%. These dry gas Austin Chalk locations are very compelling at current prices and represent a good opportunity for Fund X.

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Jan-16	$246,000	$383,139	$800,472	$1,183,611	4.81x	N/A

Plains All American Pipeline, L.P. (NYSE: PAA)

Company Description

Plains All American Pipeline, L.P. ("PAA") is a publicly-traded master limited partnership headquartered in Houston, Texas that owns and operates midstream energy infrastructure and provides logistics services for crude oil, natural gas liquids ("NGL"), natural gas, and refined products. PAA owns an extensive network of pipeline transportation, terminaling, storage, and gathering assets in key crude oil and NGL producing basins and transportation corridors, and at major market hubs in the United States and Canada. The PAA management team and EnCap have a long-standing relationship and a history of successful investments. In 1998 and 1999, EnCap Fund III invested $49.5 million in Plains Resources through two redeemable convertible preferred offerings on which EnCap Fund III realized a 2.4x ROI. In 2001, EnCap Fund III invested $26.6 million in PAA in exchange for a 9% interest in PAA's general partner and 850,000 subordinated units in PAA on which EnCap Fund III realized a 6.6x ROI. Additionally, EnCap Fund V acquired 2.1% of PAA's general partner for $9 million, and in 2006, EnCap Fund V acquired 117,000 common units for $5.8 million. EnCap Fund V realized a 5.0x ROI on these investments. Further, Gary Peterson, an EnCap Managing Partner and Founder, has served on the Board of PAA since EnCap Fund III's investment in PAA's general partner in 2001.

Transaction Summary

In January 2016, PAA management offered EnCap the lead investor role in a $1.6 billion perpetual convertible preferred equity offering, of which EnCap Fund X and EnCap Flatrock Fund III were each allocated $285 million ($280 million purchase price). The proceeds will be used to fund the majority of a multi-year growth capex program that is heavily underpinned by minimum volume commitments or similar contractual support and will be focused on the most economic resource plays in North America. The preferred units will pay quarterly distributions at an annual rate of $2.10 per unit; however, PAA has the option to pay distributions in-kind until December 31, 2017. Additionally, the units are convertible at the holders' option into PAA common units on a one-for-one basis after two years and are convertible at PAA's option under certain circumstances after three years. EnCap views this transaction as an excellent opportunity to invest behind one of the best management teams in the energy industry controlling the largest crude-centric MLP with a leading position in North America's best resource plays.

Post Investment Activity

For further information about Plains All American please reference publicly disclosed information found at the Company website: http://www.plainsallamerican.com/

Recent Events

PAA continues to make quarterly cash dividends ($6.7 million net to Fund X) on Fund X's preferred equity investment.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Jan-16	$280,000	$106,741	$339,468	$446,209	1.59x	N/A

Raisa Energy II, LLC

Substantially Realized

Company Description

Raisa II is a privately held, Denver-based independent oil and gas company focused on building an attractive non-operated asset base through acquiring small non-operated working interests and mineral interests in the core of de-risked basins that demonstrate the most economic drilling opportunities in the country. Raisa's initial focus was on the DJ Basin, the SCOOP/STACK, and the Bakken, and the team has since expanded to the Delaware Basin. The Raisa management team consists of Luis Rodriguez (CEO), Casey Harless (VP – Land), Jeremy Cook (CFO), and Ayman Kaheel (VP – Data Analytics). Rodriguez formed his first non-operated E&P venture, Raisa Energy ("Raisa I"), in March 2015 and subsequently recruited the additional management team members to build out the team. Casey Harless was highly involved at Raisa I on a contract basis, sourcing substantially all of the acreage acquisitions. Jeremy Cook and Ayman Kaheel joined the management team shortly after closing the equity commitment.

Raisa's strategy is focused on expediently and economically converting small blocks of core undeveloped acreage into production many times over. The team is concentrated on acquiring and developing small non-operated working interests in the core of de-risked basins that demonstrate the most economic drilling opportunities in the country. The Raisa team performs intense geologic and engineering analysis to identify the best sections under the best and most efficient operators, generating a significant competitive advantage versus small local competitors. The strategy is exclusively concentrated on tier-one acreage in heavily delineated areas of highly economic basins, which helps to mitigate both geological and engineering risk and ensure timely development of acquired acreage.

Transaction Summary

In April 2016, Fund X committed $183.4 million, co-investors committed ~$13 million, and management committed ~$4 million, providing a total equity commitment of $200 million to the company. Co-investors and Management contributed $12 million of assets, consisting of producing properties and DJ Basin acreage, and committed $5 million of additional equity capital. The investment is structured in the form of common equity with Fund X receiving 92% of distributed cash until an 8% IRR and 1.25x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In Q1 2018, Raisa's total equity commitment was expanded by $100 million (comprised of ~$92.4 million from Fund X, ~$6 million from co-investors, and ~$2 million from management). The expanded commitment will be utilized to continue creating an attractive portfolio of non-operated and mineral assets in the company's existing basins with potential to expand into additional basins.

In Q3 2019, Raisa closed the industry's first Investment Grade rated securitzation, collateralized by a subset of PDP wellbores, and made a $50 million 8/8ths distribution in Q4 2019.

Recent Events

During the 4th quarter, we successfully closed the sale of Raisa Energy II, LLC to Savitar Energy Holdings, LLC, a company formed by Ares and Citadel. Net to EnCap, $193.4 million of cash proceeds to Fund X were received, representing a 0.95x ROI. We also expect to receive additional cash of ~$28.4 million through holdbacks that will be paid out in two tranches 6 and 12 months after closing.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Apr-16	$252,662	$239,417	$25,540	$264,957	1.05x	1.2%

Advance Energy Partners, LLC

Company Description

Advance Energy Partners is a privately-held, Houston-based independent oil and gas company focused on building an attractive asset base through an acquisition strategy focused on the Permian Basin. The Advance management team consists of Peter Lellis (CEO), Ed Caamano (VP – Geoscience), David Harwell (VP – Engineering), David Scott (VP – Land) and Kevin Hays (CFO). Each technical team member has 30+ years of industry experience and substantial contacts in the industry from past roles at companies such as ConocoPhillips, Pioneer Natural Resources, Canadian International Oil Company and Laredo Petroleum. During the last 20+ years, most of the team members (excluding Kevin Hays) have worked together on numerous projects at ConocoPhillips and have developed a strong cohesion among the team. While at ConocoPhillips, Mr. Lellis served as Chief Geophysicist for U.S. Onshore, and he along with his team were responsible for several multibillion projects resulting in significant value creation. Advance's strategy is to acquire producing oil and gas assets with multiple rich source rocks charging a series of known productive zones and stacked pay potential. Management will target the acquisition of under-exploited and under-optimized assets from which they can generate value through a "step change" in production through superior understanding of the multi-reservoir section.

Transaction Summary

In September 2014, Fund IX committed $297 million and management committed $3 million, providing a total equity commitment of $300 million to the company. In May 2016, Fund IX's commitment was transferred to Fund X as a means to manage Fund IX's overall commitment level. Fund X reimbursed Fund IX for start-up costs incurred to date plus interest at 8%. The investment is structured in the form of common equity with Fund X receiving 99% of distributed cash until an 8% IRR and 1.25x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

During Q3 2017, Advance closed on a two-part acquisition of ~6k net acres (100% HBP / 100% WI / 78% NRI) with production of ~1,100 Boe/d (82% oil) in Lea County, NM from two private sellers. The asset represented one of the few remaining large, contiguous acreage positions in a premier area of the Delaware Basin. In conjunction with the acquisitions, in Q3 2017, Advance's total equity commitment was expanded by $150 million (comprised of $148.5 million from Fund X and $1.5 million from management).

Recent Events

During the fourth quarter of 2021, EnCap determined that it made strategic sense to consolidate both Advance and Ameredev II's (another Fund X company) assets under a single management team. As such, EnCap bought out management's interest in Advance Energy Partners, and the assets will be managed by Ameredev II going forward. The combined footprint covers ~52,400 net acres in the core of the Delaware Basin.

During the first quarter of 2022, the company turned the 9-well Dagger State project and the 4-well Platinum pad online. Additionally, the company continued completion operations on the 20-well Anderson pad which is expected to be online by the end of the second quarter. Advance will continue running a two-rig development program during the second quarter to pull value forward through the drill bit.

Advance maintains operational flexibility and can quickly halt development if needed. The company continues to seek opportunities to bolster its core acreage position in New Mexico through trades, swaps and strategic bolt-on acquisitions.

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
May-16	$435,418	$0	$1,322,795	$1,322,795	3.04x	N/A

Novo Oil & Gas Holdings, LLC

Company Description

Novo Oil & Gas Holdings, LLC ("Novo") is a privately held, Oklahoma City based independent oil and gas company focused on the pursuit of statistically proven, liquids-rich unconventional assets within the Anadarko and Permian Basins. Novo is led by Tim Fahler (CEO) and John Zimmerman (CFO), two former managers of PayRock Energy, LLC ("PayRock I"), that played an integral role in the company's successful sale of its core STACK position to Marathon Oil Corporation (NYSE: MRO) in August 2016. While at PayRock I, these individuals served as the Vice President of Reservoir Engineering and Business Development and Vice President of Finance, respectively. Management demonstrated the ability to evaluate, capture, and develop a sizeable and marketable asset while adapting to challenging market conditions and creating significant value. Novo's strategy is to leverage Management's expertise, relationships, and experience to make land acquisitions in the most economically compelling areas of the Permian Basin, in addition to testing STACK analogs within the Permian Basin. Novo plans to execute a return-focused strategy to build a consolidated footprint through greenfield leasing, farm-ins, joint ventures, and acquisitions based on regional geologic mapping and targeted geological prospects. Additionally, Novo intends to execute a minerals strategy within the Permian.

Transaction Summary

In August 2016, Fund X committed $196.0 million to Novo and management committed $4.0 million, providing a total equity commitment of $200.0 million. The investment is structured in the form of common equity, with Fund X receiving 98% of distributed cash until an 8% IRR and 1.0x ROI is earned; thereafter, distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In 2017, Novo assembled ~14,675 net prospective acres in Ector County, Texas on the Central Basin Platform. Management targeted this area for its analogous characteristics to the STACK play of the Anadarko Basin, an area where the team has significant operational and technical expertise. After monitoring wells from several private operators in the area, the Company drilled and completed one horizontal well to test the prospectivity of the Meramec on its position in Q1 2018. The performance of the initial test well has been disappointing, and the play itself remains in the early stages of delineation. Rather than expose additional capital to the project area, the Company has decided to focus its efforts on the northern Delaware Basin and allow other operators in the area to delineate the play before exposing any incremental capital. In 2019, Novo brought in a third party to further delineate the position. The third party carried Novo for its portion of the well cost and the additional well results were not encouraging. There are no plans to expose additional capital to this project area. The Company will opportunistically market its position in Ector County and redeploy any proceeds into the Delaware.

Novo began assembling acreage in Eddy County, New Mexico in August 2017 through various number of small trades. In September 2018, Novo made a large acquisition (1,280 net acres) through the BLM lease auction in New Mexico. The acreage represents some of the most prolific rock in the Delaware Basin, and the lease terms are advantageous, characterized by ten-year lease terms, no pugh clauses, and 87.5% NRIs.

In Q2 2019, Novo acquired ~3,500 net royalty acres (normalized to 1/8th) ("NRAs") directly offset and underneath its operated position in northern Eddy County for ~$30.0 million or ~$6,900 per NMA. These mineral interest are perspective for multiple highly economic zones and are located where industry activity is ramping, and in some instances, where Novo will directly control the development pace.

In Q3 2019, Novo acquired ~1,500 net acres and ~3,700 NRAs directly offset and underneath its operated position in northern Eddy County for $62.5 million or ~$10,400/ acre and ~$12,500/NRA. The royalty interest acquired is largely located underneath Novo operated acreage, and Novo will directly control the development pace.

In Q2 2021, Scala Energy, LLC's (another Fund X portfolio company) assets were acquired by Novo management. The assets had been previously managed by Novo since April 2020 via MSA.

Recent Events

In Q1 2021, Novo continued running a 3-rig development program funded with operating cash flow. The company also made their second distribution of $25 million in March and plans to continue making regular distributions throughout the year. In addition to development activity, Novo continues to focus on blocking up its core leasehold position in Eddy County, New Mexico.

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Aug-16	$491,336	$49,016	$849,049	$898,065	1.83x	N/A

OGX Holding IV, LLC-Quinn Ranch

Company Description

OGX IV is a privately held Midland based independent oil and gas company focused on acquiring and exploiting oil and gas properties in the Permian Basin. OGX was founded by Richard Coats and Frank Agar in October 2002. Both individuals each have over 25 years of experience as independent owners and operators of oil and gas properties in the Permian Basin. The team initially partnered with EnCap Fund V in 2006 and subsequently sold the majority of its assets to Legend Natural Gas III in March 2008 for approximately $173.5 million in cash, providing a 2.8x ROI and 92% IRR on Fund V's $32.2 million investment. The team then partnered with EnCap Fund VII in 2008 and pursued a drill bit growth strategy in the Permian Basin. OGX II was substantially realized through three separate transactions, generating $331.7 million in cash for Fund VII or a 3.3x realized ROI to date on $101.0 million invested. OGX II has additional stub value in minor unrealized assets which will enhance the overall returns to Fund VII. OGX III was founded in January 2015 and has invested substantially all of its $500.0 million total commitment capturing an attractive minerals portfolio in the core of the Midland and Delaware basins, which remains unrealized. Given OGX III's limited capacity for incremental investment, OGX IV was formed in August 2016 to pursue additional opportunities. The OGX IV management team is led by the same management team as OGX III, which includes the OGX founders, Richard Coats and Frank Agar, and Austin Campbell and Brendan Fikes, two seasoned mineral acquirers with strong track records in value creation in the Permian Basin. OGX IV will maintain the same dual-track strategy of 1) acquiring mineral interests in the Midland and Delaware basins and 2) aggregating and developing unconventional exploration and production opportunities throughout the Permian Basin.

Transaction Summary

Fund X formed a limited liability company with OGX IV in August 2016, committing $240.0 million. The management team committed $10.0 million providing total capital committed of $250.0 million to the company. In Q4 2017, the total equity commitment was expanded to $500.0 million, comprised of $480.0 million from Fund X and $20.0 million from management. The investment takes the form of common equity with Fund X receiving 96% of the available cash flow until an 8% IRR and a 1.0x ROI is earned, and thereafter distributions are allocated on a graduated basis until higher IRR and ROI targets are met. All exploration and production assets will be held in OGX Holdings IV, LLC, while for tax purposes mineral related interests will be held in Santa Elena Minerals IV, LP (both entities collectively referred to as "OGX IV"). EnCap holds a majority position on the Board of Managers.

In June 2021, OGX IV contributed the entirety of its Permian mineral portfolio outside of Quinn Ranch (~18,400 net royalty acres) to EnCap Minerals in exchange for 16.7% ownership in the pro forma entity. OGX management was bought out of its interests in these contributed assets, and Fund X holds this equity ownership directly. OGX management retained its ownership interests in the separate entity, "OGX Holding IV, LLC-Quinn Ranch", which is legally named Morita Ranches Holdings, LLC. The investment takes the form of common equity with Fund X receiving 96% of the available cash flow until an 8% IRR and 1.0x ROI is earned, and thereafter distributed are allocated on a graduated basis until higher IRR and ROI targets are met. A subset of the former OGX management team is managing this entity with minimal overhead to maximize value from the surface and minerals of the Quinn Ranch. EnCap holds a majority position on the Board of Managers of the new go forward entity.

Post Investment Activity

In September 2017, the company agreed to acquire 50% of the mineral interests owned by the Quinn family under the Quinn Ranch in southwest Howard County for $122.5 million. The Quinn Ranch represets one of the largest, concentrated, and undeveloped blocks in the core of the Midland Basin, allowing for efficient development with long laterals and centralized surface facilities. At the time of the transaction, the leasehold was tied up in litigation between Endeavor and Energen (Diamondback), and the deal was structured with an initial $25 million down payment with the balance due upon resolution of the lawsuit.

This lawsuit was finalized in Q2 2021, and the company funded the remaining $97.5 million due under this contract in June 2021.

In June 2019, the company agreed to acquire the remaining 50% of the mineral interests owned by the Quinn family, as well as 100% of the surface rights (11,400 surface acres), for total consideration of $170.0 million. Currently, the company holds ~17,600 net royalty acres and the entirety of the surface across the Quinn Ranch, which Endeavor now operates.

In June 2021, OGX IV contributed all of its Permian mineral portfolio outside of the Quinn Ranch (~18,400 net royalty acres) to EnCap Minerals in exchange for 16.7% ownership in the pro forma entity.

Recent Events

EnCap is seeking to maximize the value of the Quinn Ranch interests. The unified asset base (minerals and surface) represents a unique platform in the core of the Permian, and we are exploring all avenues to accelerate activity on the ranch in order to bring cash flow forward. In Q1 2022, Endeavor put seven horizontal wells online, equating to 1.4 net wells for OGX IV. On the northern part of the ranch, Chevron is currently drilling a unit that will likely include eight horizontal wells (0.24 net wells for OGX IV). These developments will provide healthy royalty cash flow for OGX IV this year and hopefully lead to continued development across the Quinn Ranch.

Valuation ($000's)

The Unrealized Value is based on a cash flow multiple of actual trailing 12 month cash flow.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Jun-16	$257,576	$0	$337,849	$337,849	1.31x	N/A

PetroLegacy Energy II, LLC

Company Description

PetroLegacy II is a privately held, Austin-based independent oil and gas company focused on acquire-and-exploit opportunities with a specific focus on the South Texas Eagle Ford. The management team consists of Jason Churchill (CEO), Aaron Gutierrez (EVP of Asset Development & Engineering), JD Braddock (EVP of Business Development & Land), and Kris Simpson (CFO). Prior to the formation of PetroLegacy, certain members of the management team worked together in leadership roles at Fund VIII-backed Venado Oil & Gas. Mr. Churchill was previously VP of Operations at Venado and led the drilling of Venado's 40 Eagle Ford wells. Prior to Venado, Mr. Churchill led an operations engineering team within XTO Energy. Prior to joining Venado as Reservoir Engineering Manager in 2016, Mr. Gutierrez was the lead engineer across several asset areas at Samson Resources. Mr. Braddock was Land Manager at Venado and led the land acquisition efforts of more than 250,000 acres in the East Texas Eagle Ford and South Texas. He previously played a key role in the land function at Broad Oak Energy. Prior to joining PetroLegacy, Mr. Simpson served as CFO at Luxe Minerals and Luxe Energy, where he led the company's financial and business development efforts.

Transaction Summary

In July 2016, Fund X committed $149.7 million and management committed $0.3 million, providing a total equity commitment of $150 million to the company. The investment is structured in the form of common equity with Fund X receiving 99.8% of distributed cash until an 8% IRR and 1.25x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

On March 13, 2017, PetroLegacy signed a PSA to acquire 20,088 net acres in Martin County, Texas from Pioneer Natural Resources for $266MM. The asset included PDP PV-10 of $38MM from current production of 1,440 Boe/d. After backing this value out of the purchase price, PetroLegacy acquired the position for an acreage value of ~$11,350/acre. Management closed on the acquisition in Q2 2017. In conjunction with the acquisition, PetroLegacy's total equity commitment was expanded from $150 million to $400 million (100% of the expansion net to Fund X).

Recent Events

Since closing the Martin County acquisition, PetroLegacy has executed several bolt-on acquisitions and grown its position to ~25,000 net acres. PetroLegacy continues to opportunistically bolt-on acreage, acquire minerals, and build out water-related infrastructure for its development program and third-party volumes. The company continues to operate its 2-rig development plan with positive results.

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Sep-16	$443,279	$0	$742,083	$742,083	1.67x	N/A

Grayson Mill Energy, LLC

Company Description

Grayson Mill Energy is a privately held, Houston-based independent oil and gas company focused on the acquisition and development of oil and gas properties in the Rockies region and South Texas. The Grayson Mill management team is led by Eric Bayes (CEO), Blake Sullens (COO), Matt Ultis (CFO), and Dewey Gerdom (VP-Business Development). Mr. Bayes was most recently VP Operations with Oasis Petroleum ("Oasis"), where he managed the entirety of Oasis' operations team in the Bakken, which included 16 rigs, six frac crews, and over 300 employees at its peak. While at Oasis, Mr. Bayes was being groomed to be a future leader of the company prior to deciding to pursue his own venture. Mr. Sullens was most recently Operations Manager at Alta Resources, where he played a critical role in the execution and success of the company's Duvernay asset. He brings a unique combination of operational, engineering, and petrophysical expertise to the team. Mr. Ultis was previously CFO of Redman Management Company (GSO portfolio company) and also held various corporate planning, finance, and investor relations roles at Oasis. Mr. Gerdom previously served as VP-Business Development at Bright Horizon Resources, where he focused on the Midcontinent and East Texas basins. Prior to Bright Horizon Resources, Mr. Gerdom worked at PDC Energy for nineteen years, where he was part of the original team that formed PDC's successful strategy to enter the Wattenberg and Picance basins. The team has also been supplemented with technical members who have extensive industry experience in the Rockies. Grayson Mill will take a strong, data-driven and operational approach to identify, capture, and exploit assets in the underappreciated Rockies basins.

Transaction Summary

In October 2016, Fund X committed $174.4 million and management committed $0.7 million, providing a total equity commitment of $175.1 million to the company. The investment is structured in the form of common equity with Fund X receiving 99.6% of distributed cash until an 8% IRR and 1.20x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In Q2 2017, Grayson Mill entered the Powder River Basin through the acquisition of ~4,000 net acres from Abraxas. The company subsequently expanded its position through a series of low-cost acquisitions and leasing.

In Q4 2017, Grayson Mill divested ~19,000 net acres in the Powder River Basin to an incumbent operator for $27 million, which generated a 1.56x ROI on the divested acreage. The Board viewed this sale as a prudent way to mitigate risk given the project's capital exposure level and certain land surface issues on the divested acreage.

Recent Events

Grayson Mill currently has ~24,000 net acres in a consolidated block offset Devon's "Atlas West" project area that are prospective for multiple benches including the Niobrara and Turner formations. The company has other extensional Powder River Basin acreage, which has limited value currently but also a very low cost basis. Devon has drilled several spacing tests in the immediate area, but activity slowed dramatically in light of commodity prices in 2020 and has not returned to pre-Covid levels.

Grayson Mill completed its first two Turner wells in Q4 2020 and Q4 2021. Results to date have met type curve expectations, and the team is planning to initiate more development in Q3 2022. The exit market for the Powder River Basin is unlikely to attribute significant value to well inventory, but the well economics to date have been strong and merit continued capital deployment.

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Oct-16	$58,733	$511	$39,955	$40,466	0.69x	N/A

Royal Holly Energy, LLC

Fully Realized

Company Description

Royal Holly is a privately held, Tyler-based independent oil and gas company that will pursue the acquisition and development of oil and gas assets in the Ark-La-Tex Basin, primarily focusing on the liquids-rich Cotton Valley trend. Management is led by Greg Wood (President & CEO), Kevin Reed (EVP Land, BD, & Corporate Planning), Larry Tschirhart (VP Operations), David Rice (VP Engineering), and Nicholas Drumsta (VP Exploration). Management has an average of over 25 years of industry experience, and all members of management have dedicated a significant portion of their careers focused in the Ark-La-Tex, which provides Royal Holly with invaluable expertise and strong relationships in its focus area. Of note, Mr. Wood was a founding member and led all land and business development functions for three successful, NGP-backed companies (Classic I, II, and III) from 1998-2005 and later served as VP Land for Tanos Exploration I from 2008-2013. The three Classic entities each generated a minimum of a 4.0x ROI and returned a total of $240.0 million in proceeds on $40.0 million of invested capital. Mr. Tschirhart served as VP Operations for all three Classic entities and was most recently a Partner and VP Engineering for East Texas Oil & Gas. Mr. Reed served as Land Manager for Navidad Resources (Fund VI) from 2010-2013 and has served as the land and BD manager for Buffco Production since then, leading over $500.0 million in asset deals across multiple basins. Mr. Rice has extensive operations and reservoir experience in tight gas sands in East Texas and Oklahoma, specifically with JW-Operating and Amoco. Finally, Mr. Drumsta has held various technical and managerial positions for multiple operators including PetroQuest, which is actively drilling the Cotton Valley. Management will rely on subsurface data and historical well data to identify focus areas with key attributes that the team has found to be critical for success in the play. The team will then leverage its depth of relationships to capture a small but scalable position through a combination of acquisitions, leasing, and farm-ins.

Transaction Summary

In January 2017, Fund X committed $148.5 million and management committed $1.5 million, providing a total equity commitment of $150.0 million to the company. The investment is structured in the form of common equity with Fund X receiving 99% of distributed cash until an 8% IRR and 1.0x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Since inception, Royal Holly has executed on its strategy of capturing low-cost acreage postions with attractive horizontal upside in the liquids-rich area of the Cotton Valley in East Texas. In Q2 2017, Royal Holly closed on the acquisition of ~11,200 net acres in two distinct transactions. The first was the acquisition of ~4,200 net operated acres in Harrison and Marion counties, Texas in the Woodlawn Field. The second acquisition included ~7,000 net non-operated acres in the South Overton Field in Smith and Cherokee counties, Texas. In Q3 2017, Royal Holly acquired a third project in the Cotton Valley in the Willow Springs area, which includes ~3,700 net operated acres in Gregg and Harrison counties, Texas. Additionally, management reached an agreement on a "drill-to-earn" deal in the Woodlawn area. The acreage is intermingled and contiguous to the team's current acreage and represents ~7,000 gross acres of bolt-on Cotton Valley rights. The agreement was structured with minimal upfront capital exposure and future capital requirements.

Overall, the company's acreage position includes ~17,200 net acres (includes bolt-ons and leasing in the aforementioned project ares) that are substantially HBP and have a low cost basis of ~$310/acre after backing out PDP value. There are several horizontal rigs running in the Cotton Valley trend and permitting by offset operators continues.

After monitoring results from Royal Holly's first horizontal well, it became apparent that horizontal Cotton Valley drilling has more variability and risk than the company initially believed. As such, EnCap made the strategic decision to halt all activity. In Q1 2019, Royal Holly divested its assets to three separate buyers for ~$9 million in total. While disappointing, the opportunity set did not merit additional capital or G&A expense, and we believed it prudent to liquidate the company.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jan-17	$26,166	$8,704	$0	$8,704	0.33x	(46.4)%

Ameredev II, LLC ("Ameredev II")

Company Description

Ameredev II, LLC is a privately-held, Austin-based independent oil and gas company focused on the identification, acquisition and development of oil and gas assets within the U.S. The Ameredev II management team is led by Parker Reese (President), Floyd Hammond (VP-Operations), Eric Rhoden (VP-Geology), Noah Bramble (Land Manager), and Ron Zboril (CFO). Mr. Reese was formerly with Three Rivers Operating Co., where he played an active role in evaluating, capturing and developing their Permian position which, through accretive acquisitions and strategic sales, ultimately resulted in a ~3.0x ROI for its investors. Previously, Mr. Reese was employed by Cimarex Energy and ConocoPhillips where he gained valuable experience in the Delaware Basin, Anadarko Basin and Gulf Coast. The team shares a similar mindset with EnCap relative to risk management, capital allocation and opportunity capture. The team initially partnered with EnCap Fund X in May 2015 through Ameredev I and subsequently sold the majority of its assets to Callon Petroleum ("Callon") in December 2016 for $615.0 million in cash, providing a 2.7x ROI at closing on Fund X's $168.3 million invested. Ameredev II will implement an acquire and develop strategy with an initial focus in the Permian Basin, but will be opportunistic as it relates to areas of focus. The team will concentrate primarily on making grassroots, non-marketed acquisitions based on risk-adjusted economics, geologic merit and offset productions results.

Transaction Summary

In February 2017, Fund X committed $388.0 million and management committed $12.0 million, providing a total equity commitment of $400.0 million to the company. The investment is structured in the form of common equity with Fund X receiving its pro-rata percentage of distributed cash until an 8% IRR is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. In Q3 2018, the total equity commitment was increased by $300.0 million, comprised of $297.0 million from Fund X and $3.0 million from management, providing a total equity commitment of $700.0 million to the company. The investment structure and IRR and ROI targets remain unchanged. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Shortly after inception, management identified the overpressured oil window in the Northern Delaware Basin in Southeast Lea County, New Mexico as a focus area for the company. The Ameredev team decided to focus on this area of the Delaware because: (i) the team felt as if they had a strong understanding of the subsurface risk given that this area possesses similar geologic characteristics to the position they had built to the South in Ameredev I, (ii) the industry as a whole was continuing to delineate and move the play boundaries of the Delaware in this area to the East which provided a decent amount of well control to help give the team confidence in the overall reservoir quality, and (iii) both the regulatory environment in New Mexico and the early stage of overall development in the area had resulted in limited activity/focus by other operators which provided numerous potential entry opportunities that did not exist in other areas of the Delaware Basin.

In 1H 2017, Ameredev II acquired ~11,500 net acres in the Northern Delaware Basin in Southeast Lea County, NM through a mixture of grassroots leasing and non-marketed deals. Nearby activity is primarily in the Wolfcamp A and Wolfcamp B. The team continues to pick up acreage to the West of their position where EOG, Concho, and Devon are actively developing multiple target intervals.

Ameredev II previously owned ~2,000 net acres in Loving County, Texas where the team had drilled two highly economic Wolfcamp wells. Given the stranded nature of the tracts, and in an effort to focus its full efforts on Lea County development, management solicited bids for the acreage. In Q3 2018, Ameredev sold the remainder of its Loving County acreage. Proceeds from the sale were used to pay down debt and to fund future Lea County development.

Altogether, Ameredev II has acquired ~33,700 net acres to date in the Northern Delaware Basin at an attractive cost basis through over 40 separate transactions and grassroots leasing efforts. This acreage is largely contiguous with extremely favorable lease terms including high NRIs, long-term leases, and limited near-term drilling obligations. Ameredev II's current acreage position is prospective to multiple formations; however, the company's primary development targets are the Wolfcamp XY, Wolfcamp A, and Wolfcamp B. Offset operators such as Concho, EOG, and Devon, amongst others, are actively developing in and around Ameredev II's position and have helped delineate multiple formations through strong preliminary results.

Recent Events

To date, the company has drilled and completed thirty-three operated horizontal wells in Lea County (fourteen Wolfcamp A, ten Wolfcamp XY, six Wolfcamp B and three Third Bone Spring). Overall, production results from these wells have been encouraging which gives us further confidence in the prospectivity of future development on Ameredev's leasehold position.

During the first quarter of 2022, Ameredev began completion activity on the 10-well Nandina/Golden Bell pad, began drilling the 4-well Par Three pad, began drilling the 6-well Holly pad, and began drilling the 9-well Red Bud pad. 14 of the wells in progress will be turned online during the second quarter, the remainder will be turned online during the second half of 2022.

For the second quarter of 2022, Ameredev plans to run an active development program focusing on pad development of its core inventory. The company maintains operational flexibility and can quickly halt development if needed.

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Mar-17	$546,400	$0	$998,372	$998,372	1.83x	N/A

Fortis Minerals - Oklahoma

Company Description

Beginning in 2016 EnCap partnered with the Fortis management team through three separate Fund X ventures, Fortis I: $275 million commitment, $265 million invested, Fortis II: $350 million commitment, $335 million invested and Fortis III: $100 million commitment, $3.2 million invested.

Transaction Summary

During the investment period of Fortis I, II and III, the Fortis management team acquired mineral and overriding royalty interest in both the Permian and Anadarko basins with the majority of its capital being spent in the Permian. As part of our broader EnCap Mineral consolidation, we made the difficult decision to part ways with the Fortis Management team and consolidated all of the Fortis I, II and III Permian assets into EnCap Minerals. We excluded the remaining Fortis I and II Oklahoma assets from EnCap Minerals as these assets fall outside of the Permian Basin. These excluded assets, which reside in the STACK play of the Anadarko Basin and represent ~20,500 NRAs, have been consolidated into Fortis – Oklahoma and are currently being managed under a separate MSA with the Pegasus management team.

Recent Events

The Pegasus team continues to actively manage these assets with minimal overhead and make frequent distributions from cash flow. During 1Q 2022, EnCap engaged TPH to pursue the sale of its existing STACK mineral assets.

Valuation ($000's)

The Unrealized Value is based on a cash flow multiple of actual trailing 12 month cash flow.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Mar-17	$161,268	$59,418	$95,314	$154,732	0.96x	N/A

Mongoose Energy Holdings, LLC

Company Description

Mongoose is a privately-held, Tulsa-based oil and gas company focused on building an acreage position in the core or low-risk extentional area of a proven basin, with an initial focus on the Delaware Basin. The team will seek to build an acreage position through small acquisitions and greenfield leasing in core areas that are overlooked and in extensional areas that it believes have the geologic characteristics required to become core areas. The company is led by a group of five executive team members comprised of key members of Samson Energy's New Ventures group, including Stephen Ferguson (CEO), Steve Widner (President / VP – Land), Kirk Harlton (VP – Geology), Kale Wallace (VP – Engineering), Ryan Heatly (VP – Operations), and Todd Coker (CFO). Each team member has garnered significant industry experience and expertise through their roles at Samson Energy as well as other large operators including Samson Resources, Conoco, ExxonMobil, Southwestern Energy, RBC, and Halliburton. Each management team member will play an integral role in Mongoose's decision making process given their highly complementary skill sets and established working relationships from their prior roles managing Samson's New Ventures group.

Transaction Summary

In April 2017, Fund X committed $298 million to Mongoose and Management committed $2 million, providing a total equity commitment of $300 million. The investment is structured in the form of common equity, with Fund X receiving 99.4% of distributed cash until an 8% IRR and 1.25x ROI is earned; thereafter, distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Recent Events

Mongoose currently holds ~10,000 predominantly HBP net acres in Pecos County, Texas. Going forward, Forge II (a Fund XI company) will manage the assets through a Management Services Agreement. Forge II has assets in the Southern Delaware Basin near Mongoose's acreage position and has a deep understanding of the area.

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Apr-17	$136,544	$0	$30,291	$30,291	0.22x	N/A

Staghorn Petroleum II, LLC ("Staghorn III")

Substantially Realized

Company Description

Staghorn Petroleum II ("Staghorn III") is a privately-held, Tulsa-based oil and gas company focused on the pursuit of sizeable, high-growth and/or emerging plays through a combination of (i) producing and non-producing property acquisitions, (ii) grass-roots leasing and (iii) farm-ins or joint ventures. The Staghorn III executive management team consists of Frank Eby (CEO), Peter Vail (CFO), Ken March (SVP of Geology), Jeff Frederick (VP of Asset Engineering) and Richard Eby (VP of Land & Business Development). Each team member has garnered significant industry experience and contacts from past roles at companies including Newfield Exploration, Apache Corporation, Vintage Petroleum, Staghorn Energy, LLC ("Staghorn I") and Staghorn Petroleum ("Staghorn II"). EnCap has known Mr. Eby for over a decade and formalized its partnership with him in 2007 via a $9.3 million equity investment in Staghorn I from Fund VI for a 25% ownership in the company. To date, Fund VI has realized a 2.6x cash-on-cash return on its investment in Staghorn I. Most recently, Mr. Eby and EnCap formed Staghorn II, which sold a portion of its assets to Apollo-backed Chisolm Oil and Gas Operating, LLC in 2017. This transaction provided Fund X with $373 million of total distributions, which implies a 2.3x cash-on-cash ROI (assuming no value given to Staghorn II's retained assets mentioned below) on Fund X's total investment in Staghorn II of $165 million.

Council Oak was a privately-held, Tulsa-based oil and gas company focused on building a portfolio of resource play assets through an early-stage and/or extensional lease-and-drill strategy throughout the Anadarko Basin. Council Oak was led by a group of five executive team members comprised of key technical and business talents from SM Energy (Rick Fritz – CEO/VP of Geology and Marlon Wells – VP of Operations), Petrohawk/BHP Billiton (Rick Deffenbaugh – VP of Land), Laredo Petroleum (Blake Herndon – CFO), and Newfield Exploration (Tim Phillips – Engineering Manager). Each management team member will play an integral role in Council Oak's decision-making process given their unique but highly complementary skill sets; however, the group will rely on Rick Fritz to harness the team's efforts, lead their discussions and ultimately cast the deciding vote. Management has played an integral role in the generation and subsequent development of numerous resource plays throughout their careers, including Newfield's prolific STACK play and a number of other sizeable, up-and-coming Anadarko Basin resource play concepts.

Transaction Summary

In May 2017, Fund X committed $291 million alongside a $9 million commitment from management for a total initial equity commitment of $300 million to Staghorn III. The investment is structured in the form of common equity with Fund X receiving 97% of distributed cash until an 8% IRR and 1.25x ROI is achieved, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Following the formation of Staghorn III, Staghorn II and Staghorn III entered into a mutually-beneficial joint venture allows management to continue creating value for the western STACK assets held by Staghorn II, while also adding to that position in Staghorn III. At formation, Staghorn II contributed its retained ~38k net acres to the joint venture and Staghorn III agreed to fund all future capital for leasing, acquisitions and development in exchange for equity ownership in the joint venture on a pro-rata basis.

In July 2015, Fund X committed $297.75 million to Council Oak and management committed $2.25 million, providing a total equity commitment of $300 million. The investment is structured in the form of common equity, with Fund X receiving 99.25% of distributed cash until an 8% IRR and 1.25x ROI is earned; thereafter, distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

In May 2019, EnCap closed on the consolidation of Council Oak's Anadarko Basin Osage Chert assets and the Arkoma Basin upstream and midstream assets under the management of Staghorn III. The assets consist of ~34k net acres in the Northwest STACK Extension Play and ~51k net acres in a second focus area, the Arkoma East STACK prospect. Council Oak also entered into a joint venture arrangement with Tall Oak Midstream III (“Tall Oak III”), an EnCap Flatrock portfolio company, whereby Council Oak dedicated all of its acreage position in the company’s Arkoma East STACK prospect in exchange for a 20% interest in Tall Oak III’s system that is focused on capturing acreage/volume dedications, as well as providing gas gathering and processing services.

In Q4 2019, EnCap and JP Morgan sold the working interest assets held in Staghorn II & Staghorn III to management for ~$24mm (~$22mm net to EnCap). The transaction closed in January, and Fund X received net proceeds to Staghorn III of $13.7 million.

In Q1 2021, Tall Oak III was sold to Tailwater Capital for cash consideration and a subordinated 5-year note totaling ~$13.8 million net to Fund X. This cash will be distributed over the next few years, and no other assets remain in the entity.

Valuation ($000’s)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-17	$276,764	$18,064	$12,280	$30,344	0.11x	(42.5)%

Olifant Energy, LLC

Fully Realized

Company Description

Olifant Energy ("Olifant") is a privately-held, Tulsa-based independent oil and gas company. The Olifant executive management team will be led by Don Burdick (CEO) and Bill Martin (President/COO), two former key executive team members (VP – Geology and VP – Engineering, respectively) of Kayne Anderson-backed Panther Energy Company II. Burdick and Martin will be accompanied by Adam Robinson (VP – Land and Legal), Jesse Gilman (VP – Development), Mack Blackford (VP – Exploration), Chad Trainer (VP – Planning, Operations and Engineering), Ken Fayard (VP – Production and Production Accounting), Tate Pope (Reservoir Engineer), Bill Crabtree (Petrophysicist) and Todd Harrell (Chief Accounting Officer). The team has worked together extensively throughout their careers, with eight of the ten team members coming from Panther II and the other two being hand-selected based on previous work experience with Burdick or Martin. Each team member has garnered significant industry experience and expertise through their roles at large operators including Cimarex Energy, Newfield Exploration, SM Energy, Vintage Petroleum, ConocoPhillips, Laredo Petroleum, SK Plymouth, Samson Resources and QEP Resources. Olifant will focus on building an attractive acreage position through a lease-and-drill, play-expansion strategy in proven basins. While the team has the skills, experience and contacts to pursue opportunities across the Lower-48, they plan to initially focus on the Permian and Anadarko basins where members of the team have successfully built and monetized asset positions at Panther Energy Company II and Panther Energy Company I, respectively. The company will initially leverage all available data to identify overlooked expansion areas near established economic activity within these proven basins.

Transaction Summary

Olifant was formed in June 2017 with a $300 million total equity commitment comprised of $297 million from Fund X and $3 million from management. The investment is structured in the form of common equity with Fund X receiving 99% of distributed cash until an 8% IRR and 1.10x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Closed on the sale of its assets to U.S. Energy Development Corporation in October 2019, and Fund X received ~$11.3 million in net proceeds.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-17	$76,230	$11,219	$0	$11,219	0.15x	(64.6)%

Enduring Resources IV, LLC

Company Description

Enduring Resources IV is a privately held, independent oil and gas company based in Denver, CO. The company is led by the former management team of Westport Resources, a publicly traded independent that sold to Kerr-McGee in 2004 for $3.4 billion. Additionally, management is substantially the same team from Enduring I & II, which were both highly successful EnCap entities. After its formation in 2004, Enduring I built asset bases in East Texas, South Texas, and the Rockies. The company exited the majority of its assets through three major individual sales: a $603 million sale of its East Texas properties to Cabot Oil & Gas (NYSE: COG) in August 2008; a $1.325 billion sale of its South Texas/Eagle Ford Shale assets to a 50/50% joint venture between Talisman (NYSE: TLM) and Statoil (NYSE: STO) in December 2010; and a $43 million sale of its East Texas Robertson County assets in February 2011. Enduring I generated a 41% IRR and a 2.5x ROI on $162 million invested for Fund V and a 333% IRR and a 2.3x ROI on $42 million invested for Fund VII. Following its inception in 2011, Enduring II pursued multiple projects in West Texas and the Rockies but ultimately focused its efforts on the Southern Midland Basin, where it amassed 63,000 net acres in Reagan and Irion counties and drilled over 50 operated horizontal wells with four rigs running at the time of the sale. In 2014, the company sold this asset for $2.5 billion to an affiliate of American Energy Partners and generated a 68% IRR and 2.9x ROI for both Fund VII and Fund VIII on $106 million and $170 million of invested capital, respectively. The company will execute a strategy similar to the one deployed in Enduring I & II, whereby Enduring IV will build a compelling acreage position in one or more onshore U.S. basins through a combination of acquisitions, greenfield leasing, and farm-ins. The team will then rely on its proven technical and operating expertise to execute a development program utilizing optimized drilling and completion techniques to create value.

Transaction Summary

Enduring IV was formed in June 2017 with a $1.0 billion commitment consisting of $475 million from Fund X, $475 million from Fund XI, and $50 million from management. In Q1 2018, the company increased its commitment to $1.05 billion consisting of $475 million from Fund X, $475 million from Fund XI, $52.5 million from management, and $47.5 million from an affiliate of Avista Capital Partners. The investment is structured as common equity, with EnCap receiving a proportionate share of the distributions until simple payout is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In July 2017, Enduring IV made a ~$250 million acquisition of a large operator’s San Juan Basin assets. This acquisition included ~$200 million of PDP PV-10 and ~135,000 net acres with meaningful upside across all hydrocarbon phase windows of the Mancos Shale. Additionally, Enduring IV sees significant value in optimizing costs on existing legacy wellbores.

In Q1 2018, Enduring IV closed on its previously announced acquisition of WPX Energy, Inc.’s (NYSE: WPX) San Juan Basin oil assets for $700 million that was substantially underpinned by PDP value. The acquired assets encompass ~93,000 net acres in the prolific core of the oil window with ~22.0 Mboe/d of production (74% liquids). Enduring IV will look to develop its inventory of highly economic locations with modern completions to drive value.

Recent Events

Currently, Enduring IV has ~230,000 net acres across all hydrocarbon phase windows of the Mancos Shale with ~25 MBoe/d of production. After initiating development in July 2018, the company experienced significant operational issues and delays related to the required infrastructure build-out, which led to cost overruns and mixed results on its first series of Mancos oil horizontal wells. In response, management slowed down its development pace and overhauled its field operations team and D&C protocols. However, this delay in development also resulted in increased midstream obligations.

In early 2020, Enduring IV halted all development plans (with 6 DUCs outstanding) as commodity prices declined. The company focused its efforts on reducing operating expenses, cutting overhead costs, and paying down debt. The company successfully paid down considerable debt over the course of 2020 and 2021 and has benefitted significantly from its implemented cost reductions, which are expected to be sustainable. Enduring IV is now on solid footing and is running a one rig program to bring value forward. Additionally, management continues to explore consolidation opportunities to realize value from added scale.

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Jun-17	$271,429	$225	$316,858	$317,083	1.17x	N/A

Grayson Mill Energy II, LLC

Company Description

Grayson Mill Energy II is a privately held, Houston-based independent oil and gas company focused on the development of oil and gas properties in the Williston basin. The Grayson Mill II management team is comprised of the same senior management team as Grayson Mill I. They have also added additional key personnel and support staff with a significant Bakken experience. The team is led by Eric Bayes (CEO), Blake Sullens (COO), Matt Ultis (CFO), and Dewey Gerdom (VP-Business Development). Mr. Bayes was previously VP Operations with Oasis Petroleum ("Oasis"), where he managed the entirety of Oasis' operations team in the Bakken, which included 16 rigs, six frac crews, and over 300 employees at its peak. While at Oasis, Mr. Bayes was being groomed to be a future leader of the company prior to deciding to pursue his own venture. Mr. Sullens was most recently Operations Manager at Alta Resources, where he played a critical role in the execution and success of the company's Duvernay asset. He brings a unique combination of operational, engineering, and petrophysical expertise to the team. Mr. Ultis was previously CFO of Redman Management Company (GSO portfolio company) and also held various corporate planning, finance, and investor relations roles at Oasis. Mr. Gerdom previously served as VP-Business Development at Bright Horizon Resources, where he focused on the Midcontinent and East Texas basins. Prior to Bright Horizon Resources, Mr. Gerdom worked at PDC Energy for nineteen years, where he was part of the original team that formed PDC's successful strategy to enter the Wattenberg and Piceance basins. Grayson Mill represents a strong, data-driven and operational team well situated to execute the company's strategy in the Bakken.

Transaction Summary

In February 2021, Fund X posted a $150 million deposit to secure the acquisition of Equinor's Bakken assets. In April 2021, Fund X committed $250 million, Fund XI committed $500 million, and management committed $1 million, providing a total equity commitment of $751 million to the company. Simultaneous with the April closing, ownership across members was trued up based on commitments to the company. The investment is structured in the form of common equity with EnCap receiving 99.9% of distributed cash until an 8% IRR and 1.00x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Concurrent with the formation of Grayson Mill II, the company closed its acquisition of Equinor's Bakken assets for $900 million. Equinor's Bakken assets include ~240k net acres producing ~44 MBoe/d net (67% oil), as well as an extensive crude, gas, and water gathering system that greatly enhances producer margins. At closing, the transaction was funded with $560 million in equity, $275 million in debt, and $65 million in interim period cash flow. The valuation was highly compelling with over $1 billion in hard value coverage and meaningful upside inventory remaining that was not valued to underwrite the deal. Additional upside exists in LOE reductions and refrac potential. Equinor hedged a meaningful portion of PDP volumes on behalf of Grayson Mill at PSA signing, and Equinor also provided firm crude transportation at an attractive fixed fee arrangement through YE 2022. The transaction closed in April 2021.

Recent Events

Management began influencing operations after closing in April 2021 and formally brought operations in-house in August 2021. Over the course of 2021, the team primarily focused on stabilizing production and lowering operating costs, which yielded excellent results. The company also completed a significant backlog of DUCs that were inherited from the seller and commenced a re-frac program. In late 2021, Grayson Mill deployed its first operated rig, and in Q1 2022, the company added its second operated rig.

During Q1 2022, Grayson Mill sold non-core acreage and associated production in Montana for $71 million to a private operator. In total, the company distributed $205 million during the quarter ($235 million since inception), which included $67 million from the asset sale, $50 million from a revolver draw, and the rest from operating cash flow. Grayson Mill is maintaining a very modest leverage profile (<0.5x), *and the company is generating significant free cash flow despite a substantial capital program and will continue to make regular distributions from cash flow on an ongoing basis. Overall, the company is very well positioned for continued success, especially in the current commodity price environment.*

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
April-21	$196,420	$77,817	$462,390	$540,207	2.75x	N/A

EnCap Minerals, LLC

Company Description

EnCap Minerals, LLC ("EnCap Minerals") was formed in June 2021 with the consolidation of core Permian mineral assets from multiple EnCap portfolio companies held in Fund IX (OGX III), Fund X (Fortis I, Fortis II, Fortis III, OGX IV), and Fund XI (OGX V, Pegasus I). Each entity received equity ownership in the new EnCap Minerals platform in exchange for the assets contributed, resulting in Fund IX, Fund X, and Fund XI owning 9.8%, 52.5%, and 36.6% of EnCap Minerals, respectively. The balance of the ownership, 1.1%, rests with the current management investors in Pegasus I. EnCap Minerals holds a premier portfolio of 125,000 core net royalty acres in the Permian Basin (60% Delaware Basin and 40% Midland Basin) with diversified and highly undeveloped assets positioned for future organic growth with no capital requirements.

EnCap Minerals is managed by the Pegasus team pursuant to a Management Services Agreement. Overhead is allocated to EnCap Minerals and Pegasus II using a methodical approach that is reviewed and approved by EnCap. As part of the consolidation, EnCap formally separated ties with the Fortis and OGX/Santa Elena teams, but several management members were retained to bolster the go-forward management team. Overall, we believe the consolidation of assets under EnCap Minerals will meaningfully reduce overhead, enhance distributions, and provide scale that will create differentiated opportunities for value creation and an ultimate monetization. EnCap Minerals will closely monitor the markets for a potential IPO, outright sale, or additional consolidation opportunities with other large private mineral interests using equity consideration.

Transaction Summary

In June 2021, EnCap Minerals was formed with the consolidation of core Permian interests. The existing remaining commitments of the Fund IX (OGX III) and Fund X (Fortis I, Fortis II, Fortis III, OGX IV) entities involved in the consolidation were carried over to EnCap Minerals to provide for additional future flexibility should a considerable deal arise requiring a cash component (subject to Advisory Board approval given the Funds involved).

The management interests of Fortis III, OGX III, OGX IV, and OGX V were fully repurchased prior to the consummation of EnCap Minerals, and the EnCap Funds hold the common equity interests directly related to these investments. The original management incentive structures remain for Fortis I, Fortis II, and Pegasus I, which are subject to an 8% IRR on original invested capital. Thereafter distributions are allocated on a graduated basis as certain ROI targets are met. EnCap holds a majority position on the Board of Managers for EnCap Minerals.

Recent Events

The EnCap Minerals portfolio has greatly benefited from improved commodity prices and increased industry activity in the Permian Basin. Currently, 110 of the 309 rigs running in the Permian (36%) are on EnCap Minerals' acreage. We anticipate a meaningful production and cash flow ramp this year.

In 1Q 2022, EnCap Minerals made $97.5 million in distributions ($35 million to Fund XI, $51 million to Fund X, and $9 million to Fund IX). The company will continue to make monthly distributions on an ongoing basis.

Valuation ($000's)

The Unrealized Value is based on a cash flow multiple of actual trailing 12 month cash flow.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Jun-16	$625,076	$212,493	$1,594,030	$1,806,523	2.89x	N/A

ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund X

Section IV:
Financial Statements

ENCAP ENERGY CAPITAL FUND X, L.P.

FINANCIAL STATEMENTS

MARCH 31, 2022

Confidential
Sam Sam
Jun 26, 2024 12:21 PM EDT

ENCAP ENERGY CAPITAL FUND X, L.P.

STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

		March 31, 2022
ASSETS		
Investments, at fair value (cost $4,176,536,293)	$	8,535,439,370
Cash and cash equivalents		413,669,087
Accrued interest receivable		6,656,244
Due from Limited Partners		8,817,315
Total assets	$	8,964,582,016
LIABILITIES AND PARTNERS' CAPITAL		
Due to affiliate	$	98,971
Total liabilities		98,971
Partners' capital:		
General Partner		1,478,950,680
Limited Partners		7,485,532,365
Total partners' capital		8,964,483,045
Total liabilities and partners' capital	$	8,964,582,016

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND X, L.P.

SCHEDULE OF INVESTMENTS

MARCH 31, 2022

	Shares or % owned	Cost	Fair Value	% of net assets
Private equity investment holdings:				
Moda Midstream, LLC	6.4%	$ 6,625,000	$ 12,522,000	0.1%
Tall Oak Woodford Holdings, LLC	9.4%	9,916,550	11,182,000	0.1%
Staghorn Petroleum, LLC	100.0%	2,663,583	5,103,000	0.1%
Verdun Oil Company, LLC	81.1%	246,000,000	800,472,000	8.9%
EFX Raisa II HoldCo, LLC	100.0%	13,244,673	25,540,000	0.3%
AEP EnCap HoldCo, LLC	100.0%	435,418,496	1,322,795,000	14.8%
Fortis Minerals Holdings, LLC	100.0%	546,753,519	1,176,733,000	13.1%
Novo Oil & Gas Holdings, LLC	98.0%	466,820,240	849,049,000	9.5%
Morita Ranches Holdings, LLC	96.0%	257,576,000	337,849,000	3.8%
EnCap Minerals Holdings, LLC	16.7%	163,524,615	507,549,000	5.7%
PetroLegacy II Holdings, LLC	99.8%	443,279,086	742,083,000	8.3%
Grayson Mill Energy, LLC	99.5%	58,732,979	39,955,000	0.4%
Ameredev II, LLC	97.6%	546,400,000	998,372,000	11.1%
Mongoose Energy Holdings, LLC	100.0%	136,544,424	30,291,000	0.3%
Staghorn Petroleum II, LLC	100.0%	181,396	1,098,000	0.0%
Enduring Resources IV, LLC	45.2%	271,428,572	316,858,000	3.5%
Fortis Minerals Holdings III, LLC	100.0%	3,149,897	5,062,000	0.1%
Grayson Mill Holdings II, LLC	33.3%	194,887,153	462,390,000	5.2%
Public company investment holdings:				
Plains All American Pipeline, LP - 8% Perpetual Series A Convertible Preferred Units	12,678,555	327,097,658	332,812,000	3.7%
Devon Energy Corporation	9,607,451	46,292,452	557,724,370	6.2%
Total investments		$ 4,176,536,293	$ 8,535,439,370	95.2%

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND X, L.P.

STATEMENT OF OPERATIONS

	Three months ended March 31, 2022
Investment income:	
Dividend	$ 208,433,893
Interest	8,008,966
Total investment income	216,442,859
Expenses:	
Management fees	15,648,265
General and administrative	349,057
Total expenses	15,997,322
Net investment income	200,445,537
Realized and unrealized gain on investments:	
Net realized gain on investments	795,776,796
Net change in unrealized appreciation on investments	1,217,969,548
Net realized and unrealized gain on investments	2,013,746,344
Net increase in partners' capital resulting from operations	$ 2,214,191,881

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND X, L.P.

STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	General Partner	Limited Partners	Total
Partners' capital at December 31, 2021	$ 1,004,263,406	$ 6,455,750,893	$ 7,460,014,299
Capital contributions	2,031,000	65,669,000	67,700,000
Capital distributions	(23,322,694)	(754,100,441)	(777,423,135)
Net increase in partners' capital resulting from operations	66,425,756	2,147,766,125	2,214,191,881
Incentive allocation	429,553,212	(429,553,212)	—
Partners' capital at March 31, 2022	$ 1,478,950,680	$ 7,485,532,365	$ 8,964,483,045

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND X, L.P.

STATEMENT OF CASH FLOWS

	Three months ended March 31, 2022
Cash flows from operating activities:	
Net increase in partners' capital resulting from operations	$ 2,214,191,881
Adjustments to reconcile increase in partners' capital resulting from operations to net cash provided by operating activities:	
Purchase of investments	(51,954,537)
Proceeds from investments	880,283,511
Realized gain on investments	(795,776,796)
Change in unrealized appreciation on investments	(1,217,969,548)
Change in operating assets and liabilities	
(Increase) decrease in due from Limited Partners	(8,817,315)
Increase (decrease) in due to affiliate	(244,940)
Increase (decrease) in due to Limited Partners	(571,572)
Net cash provided by operating activities	1,019,140,684
Cash flows from financing activities:	
Contributions from partners	67,700,000
Distributions to partners	(777,423,135)
Advances from General Partner	4,000,000
Repayment of advances from General Partner	(4,000,000)
Net cash used for financing activities	(709,723,135)
Net change in cash and cash equivalents	309,417,549
Cash and cash equivalents, beginning of period	104,251,538
Cash and cash equivalents, end of period	$ 413,669,087

The accompanying notes are an integral part of these financial statements.

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund X, L.P. (the "Partnership"), a Texas limited partnership, was formed on March 5, 2015 to provide its partners with an opportunity to participate in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to a partnership agreement (the "Partnership Agreement") dated March 5, 2015, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund X GP, L.P. ("General Partner"), a Texas limited partnership, is the sole general partner for the Partnership. The Partnership's final close was on April 7, 2015. There are 338 investors owning the limited partnership interests ("Limited Partners", and collectively with the General Partner, the "Partners"). The General Partner's and Limited Partners' total capital commitments to the Partnership are $201 million and $6,500 million, respectively. The Partners' total outstanding commitments as of March 31, 2022 were approximately $359.6 million. The ratio of total contributed capital to total committed capital is 95.0%. The Partnership has committed $7,106.5 million to portfolio companies, of which $962.8 million remains unfunded at March 31, 2022.

EnCap Energy Capital Fund X-C, L.P. (the "C Feeder") and EnCap Energy Capital Fund X-D, L.P. (the "D Feeder"), affiliated funds, are investors in the Partnership. The C Feeder's and D Feeder's ownership in the Partnership's capital are 20.594743% and 4.855223%, respectively.

The Partnership shall be dissolved upon the expiration of a 10-year period ending March 5, 2025, unless the Advisory Board or greater than 80% of the Limited Partners agree to extend the Partnership for up to two additional one-year periods in order to permit an orderly liquidation and winding up of the Partnership.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America ("GAAP"). The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification ("ASC") 946, Financial Services – Investment Companies.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

Investment valuation and transactions

The Financial Standards Accounting Board ("FASB") guidance "Fair Value Measures," establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;

Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;

Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

Inputs are used in applying the various valuation techniques and broadly refer to the assumptions that market participants use to make valuation decisions, including assumptions about risk. Inputs may include price information, volatility statistics, specific and broad credit data, liquidity statistics, and other factors. An investment's level within the fair value hierarchy is based on the lowest level of any input that is significant to the fair value measurement. However, the determination of what constitutes "observable" requires significant judgment by the General Partner. The General Partner considers observable data to be that market data which is readily available, regularly distributed or updated, reliable and verifiable, not proprietary, provided by multiple, independent sources that are actively involved in the relevant market. The categorization of an investment within the hierarchy is based upon the pricing transparency of the investment and does not necessarily correspond to the General Partner's perceived risk of that investment.

Partnership investments are valued quarterly by the General Partner. Investment cost and the net realized gains or losses thereon are determined, for financial accounting purposes, on the specific identification method. The Partnership's investments that have been classified within level 3 utilize significant unobservable inputs and trade infrequently or not at all. Level 3 investments may include common and preferred equity securities, corporate debt, warrants and other privately issued securities. When observable prices are not available for these securities, the General Partner uses one or more valuation techniques (e.g., the market approach or the income approach) for which sufficient and reliable data is available. Within level 3, the use of the market approach generally consists of using comparable market transactions, while the use of the income approach generally consists of the net present value of estimated future cash flows, adjusted as appropriate for liquidity, credit, market and/or other risk factors.

The inputs used by the General Partner in estimating the value of level 3 investments included third party engineering reserve reports, oil and gas NYMEX future prices as of the date the valuation is performed, estimated capital expenditures, estimated operating costs, and risk-adjusted discount factors based on whether the reserves are classified as proved developed producing, proved developed nonproducing or proved undeveloped. Other relevant information considered by the General Partner may include the following factors: original transaction price, recent public or private transactions in the same or similar assets, restrictions on transfer, including the Partnership's right, if any, to require registration by the issuer of the offering and sale of securities held by the Partnership under the securities laws; significant recent events affecting the issuer, including significant changes in financial condition and pending mergers and acquisitions; and all other reasonable and customary factors affecting value. The fair value measurement of level 3 investments does not include transaction costs that may have been capitalized as part of the security's cost basis. Assumptions used by the General Partner due to the lack of observable inputs may significantly impact the resulting fair value and therefore the Partnership's results of operations.

Investments may be classified as level 2 when market information becomes available, yet the investment is not traded in an active market and/or the investment is subject to transfer restrictions, or the valuation is adjusted to reflect illiquidity and/or non-transferability.

Investments in restricted securities of public companies cannot be offered for sale to the public until the Partnership complies with certain statutory requirements. The valuation of the securities by management takes into consideration the type and duration of the restriction, but in no event does the valuation exceed the listed price on a national securities exchange or the NASDAQ national market. Investments in restricted securities of public companies are generally included in level 2 of the fair value hierarchy.

Investments whose values are based on quoted market prices in active markets, and are therefore classified within level 1, generally include active listed equities. The General Partner does not adjust the quoted price for such instruments, even in situations where the Partnership holds a large position and a sale could reasonably impact the quoted price.

The following table presents the investments carried on the Statement of Assets, Liabilities and Partners' Capital by level within the valuation hierarchy as of March 31, 2022.

	Assets at Fair Value as of March 31, 2022			
	Level 1	Level 2	Level 3	Total
Investments:				
Private equity holdings	$ —	$ —	$ 7,644,903,000	$ 7,644,903,000
Preferred equity holdings	—	332,812,000	—	332,812,000
Public equity holdings	557,724,370	—	—	557,724,370
	$ 557,724,370	$ 332,812,000	$ 7,644,903,000	$ 8,535,439,370

The following table summarizes the valuation methodology and significant unobservable inputs used for investments that are categorized within Level 3 of the fair value hierarchy as of December 31, 2021. The disclosure below excludes investments for which fair value is based on unobservable but non-quantitative inputs. Such items include investments for which the determination of fair value is based on prices from prior transactions or third party pricing information without adjustment.

Assets (at fair value)	**Fair Value at December 31, 2021**	**Valuation Techniques(1)**	**Unobservable Inputs(2)**	**Range of Inputs (Weighted Average)**
Investments in Equity of Privately Held Companies	$ 57,239,000	Recent transactions approximates Fair Value	Recent transactions	N/A
	$ 5,850,793,000	Income Approach / Discounted Cash Flow Analysis (Upstream)	Discount rate	10%
			NYMEX forward strip oil pricing ($/BO)	$58.57 - $72.69
			NYMEX forward strip gas pricing ($/MMBTU)	$3.03 - $3.66
			Risk adjusted PDP reserves	0%
			Risk adjusted PDNP reserves	20%
			Risk adjusted PUD reserves	50% - 85% (67%)
			Cash flow multiple	4.0x - 9.3x (8.9x)
		Value of Undeveloped Acreage (Upstream)	Price per acre	$0 - $750

(1) In determining certain of these inputs, the General Partner evaluates a variety of factors including economic conditions, industry and comparable companies and company specific developments including growth avenues, exit strategies and realization opportunities. The General Partner also evaluates the following unobservable inputs in considering the fair value of its investments: third party engineering reserve reports, oil and gas NYMEX future prices, risk-adjusted discount factors based on reserve category, capital expenditures and operating costs of the company, financial information obtained from each company including unaudited financial statements for the most recent period available, estimated financial performance and budget to actual variance analysis; current and projected financial condition of the company; current and projected ability of the company to service its debt obligations; type and amount of collateral, if any, underlying the investment; current financial ratios applicable to each investment; pending debt or capital restructuring of the company; projected operating results of the company; current information regarding any offers to purchase the investment; current ability of the company to raise any additional financing as needed. The General Partner has determined that market participants would take these inputs into account when valuing the investment. Once the General Partner has estimated the underlying entities' business enterprise value, a waterfall analysis of the entities' capital structure should be considered. Reserve categories are defined as follows: PDP - proved developed producing, PDNP - proved developed nonproducing, PUD - proved undeveloped, Prob - unproved probable, and Poss - unproved possible.

(2) Significant increases or decreases in any of the above unobservable inputs in isolation may result in a significant lower or higher fair value measurement, respectively.

During the three months ended March 31, 2022, purchases of Level 3 investments totaled $51,954,537. The classification of an investment within level 3 is based upon the significance of the unobservable inputs to the overall fair value measurement.

Transfers into and out of Level 3 are recorded at the value of the assets at the beginning of the year. During the three months ended March 31, 2022, the Partnership did not have any transfers between any levels of the fair value hierarchy. Because of the inherent uncertainty of valuation of these level 3 investments, those estimated values may differ significantly from values that would have been used had a ready market for the investments existed. Such differences could be material.

Concentration of Risk

As the Partnership's investments are primarily in the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

The Partnership's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, the Partnership may not invest more than 15% of total commitments in any one portfolio company without the prior approval of the Advisory Board or 20% of total commitments in any one portfolio company without consent of at least 66 2/3% of the Limited Partners. This policy may subject the Partnership to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by the Partnership may expose the Partnership to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, the Partnership might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by the Partnership. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

Cash and Cash Equivalents

Cash and cash equivalents consist of demand deposits and cash held in Fidelity Investments Money Market Funds Treasury Portfolio – Class I ("Fidelity money market account"), a money market fund which contains investments with weighted average maturities of three months or less. As of March 31, 2022, the Partnership has cash in its Fidelity money market account of $51,179,204. The Partnership places its cash and cash equivalents with financial institutions and, at times, cash held in bank accounts may exceed the Federal Deposit Insurance Corporation insured limit. Cash and cash equivalents are classified as Level 1 assets and are carried at cost or amortized cost which approximates fair value.

Income and Expenses

Income and expenses from the Partnership's general operations are recognized on the accrual basis.

Investment Transactions and Related Investment Income

Investment transactions are accounted for on a trade-date basis. Dividend income is recorded on the record date with the exception of dividend income from marketable securities which is recorded on the ex-dividend date.

Gains or Losses on Investments

Realized gains and losses on investments represent the difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Income Taxes

No provision for federal income taxes is included in the accompanying financial statements. As the Partnership is not subject to income taxation, the tax effects of its activities accrue to the individual partners.

The Partnership's tax returns are subject to examination by federal and state taxing authorities. As of December 31, 2021, the earliest tax year that remains subject to examination under the standard limitation period is 2018. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Partnership's income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Partnership. To the extent possible under the new rules, the Partnership's general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership's general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

In accordance with a provision of the FASB guidance "Income Taxes", the General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners' capital. Based on the General Partner's analysis, there are no material disclosures or adjustments impacting the Partnership's financial statements as of March 31, 2022. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusions may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – INVESTMENT TRANSACTIONS:

The Partnership made equity investments in certain private entities that are primarily engaged in the acquisition, development and operation of oil and gas properties. Generally, the related limited liability company and partnership agreements provide for a specified percentage sharing of revenues and expenses until the Partnership has achieved a specified internal rate of return and return on investment. After this level of return has been achieved, the percentage-sharing ratio is adjusted to provide for an increased allocation to the management group of the investee and a decreased allocation to the Partnership.

Total contributions to and proceeds from investments are as follows:

	Three Months Ended March 31, 2022	
	Contributions	Proceeds
Private equity investment holdings:		
Moda Midstream, LLC	$ —	$ 2,635,405
Tall Oak Woodford Holdings, LLC	—	518,650
Verdun Oil Company, LLC	24,000,000	—
Fortis Mineral Holdings, LLC	—	6,368,108
PetroLegacy II Holdings, LLC	27,954,537	—
Grayson Mill Holdings II, LLC	—	22,408,692
Public company investment holdings:		
Devon Energy Corporation	—	848,352,656
	$ 51,954,537	$ 880,283,511

During the three months ended March 31, 2022, the Partnership received royalty proceeds from Fortis Mineral Holdings, LLC STACK mineral assets of $6,368,108 that was deemed a return of capital.

In March 2022, Grayson Mill Holdings II, LLC sold a portion of its assets and distributed cash proceeds of $22,408,692 to the Partnership, resulting in a realized gain of $20,875,359.

In February 2022, the Partnership received additional sales proceeds from Moda Midstream, LLC of $2,635,405, resulting in a realized gain of $1,696,975.

In January 2022, the Partnership sold 8,378,198 shares of Devon Energy Corporation (NYSE: DVN) and distributed cash proceeds of $413,207,293 to the Partnership, resulting in a realized gain of $372,776,691. In March 2022, the Partnership sold 7,194,324 shares of DVN and distributed cash proceeds of $435,145,363 to the Partnership, resulting in a realized gain of $400,427,771.

In January 2022, the Partnership received additional sales proceeds from Tall Oak Woodford Holdings, LLC of $518,650 that was deemed a return of capital.

NOTE 4 – ALLOCATIONS TO PARTNERS:

The Partnership Agreement provides that the net increase (decrease) in partners' capital resulting from operations associated with the Partnership is allocated 3% to the General Partner and 97% to the Limited Partners ("Partners' Sharing Ratio") until such time as the Limited Partners receive an 8% internal rate of return on their investment ("Preferred Return Payout"). After Preferred Return Payout is achieved, the General Partner is allocated 80% of the Limited Partner distributions and the Limited Partners are allocated the remaining 20% in proportion to their respective ownership percentages until such time the General Partner has been distributed 20% of total Limited Partner net distributions from the Partnership ("Catch-Up Payout"). After Catch-Up Payout is achieved, the Limited Partners are distributed net cash distributions equal to 80% of their original respective ownership interests and the remaining 20% distributed to the General Partner. Upon liquidation of the Partnership, the General Partner will be required to restore funds to the Partnership to the extent that the General Partner has received cumulative carried interest distributions in excess of amounts that would have been distributed to it pursuant to the formula set forth above applied on an aggregate basis covering all transactions of the Partnership, net of income taxes thereon. Funds returned to the Partnership for this purpose will be distributed to the Limited Partners in proportion to their aggregate funded commitments.

Net increase in partners' capital resulting from operations was allocated between the General Partner and Limited Partners in accordance with the allocation methodology described above. During the three months ended March 31, 2022, net increase in partners' capital resulting from operations allocated to the General Partner and Limited Partners was $495,978,968 and $1,718,212,913, respectively, which includes an unrealized incentive allocation to the General Partner of $429,553,212.

NOTE 5 – TRANSACTIONS WITH RELATED PARTIES:

The General Partner initially receives an annual management fee equal to 1.5% of total partner commitments, payable in advance at the beginning of each quarter. The initial management fee period expires upon the earlier of (a) five years from the final closing date, (b) the date the fund is fully invested, (c) the date a subsequent fund organized by the General Partner makes its first investment or (d) the occurrence of certain other events as specified in the Partnership Agreement. After such time, the annual management fee is equal to 1.5% of the Partnership's cash investment in remaining portfolio investments reduced by amounts distributed to the extent such amounts constitute a return of capital and any write-down or write-off where the General Partner has determined that such portfolio investment will not be repaid or recouped by the Partnership. The initial management fee period expired on June 2, 2017 upon the activation of Fund XI. The management fee paid by the Partnership is reduced in the subsequent quarter by 100% of any transaction fees received by the General Partner. The management fee constitutes full reimbursement by the Partnership to the General Partner for the General Partner's administrative expenses, including, but not limited to, salaries and wages of officers and employees of the General Partner, office rent, utilities and other general, administrative and overhead expenses. During the three months ended March 31, 2022, the Partnership paid management fees of $15,648,265 to the General Partner.

During the three months ended March 31, 2022, the Partnership reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, $482,389 for general and administrative expenses. At March 31, 2022, the Partnership owed $0 to EnCap for general and administrative expenses. During the three months ended March 31, 2022, the Partnership was advanced $4,000,000 by EnCap to fund portfolio companies. These advances were repaid to EnCap within the same quarter. At March 31, 2022, the Partnership withheld certain required state taxes of $626,781 on behalf of certain Limited Partners.

Managing Directors of the General Partner may serve on the Board of Directors of the Partnership's underlying portfolio companies.

Pursuant to the Partnership Agreement, the Partnership has agreed to indemnify the General Partner and its affiliates against certain losses and other liabilities to which they may become subject in connection with matters arising out of or in connection with the Partnership's business and affairs. The Partnership believes that it is unlikely that it will have to make material payments under these arrangements, and no liabilities related to these indemnifications have been recognized on the accompanying Statement of Assets, Liabilities and Partners' Capital.

NOTE 6 – FINANCIAL HIGHLIGHTS:

The following financial highlights for the year ended December 31, 2021, have been calculated in accordance with guidance provided in Accounting Standards Codification 946, "Financial Services – Investment Companies":

Net investment income ratio	4.4%
Expense ratios:	
Operating expenses	1.2%
Unearned incentive allocation	13.5%
Operating expenses and unearned incentive allocation ratio	14.7%
Internal rate of return net of incentive allocation (Inception to December 31, 2021)	11.7%
Internal rate of return net of incentive allocation (Inception to December 31, 2020)	1.1%

The net investment income and expense ratios are calculated for the Limited Partners taken as a whole. The net investment income and operating expenses ratios do not reflect the effects of the incentive allocation to the General Partner. The internal rate of return from inception is calculated based on the actual dates of the cash inflows and outflows and the residual value of the Limited Partners' capital account, net of all incentive allocations, if any, as of each measurement date. Future realization of investments may be at different values than currently carried fair values, resulting in rates of return that may differ materially from that indicated above.

NOTE 7 – COMMITMENTS AND CONTINGENCIES:

The Partnership's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.

ENCAP ENERGY CAPITAL FUND X-C, L.P. AND SUBSIDIARY

CONSOLIDATED FINANCIAL STATEMENTS

MARCH 31, 2022

ENCAP ENERGY CAPITAL FUND X-C, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

	March 31, 2022
ASSETS	
Investment in EnCap Energy Capital Fund X, L.P., at fair value	$ 1,589,305,297
Cash	7,813,826
Taxes receivable	331,613
Due from Limited Partners	3,558
Total assets	$ 1,597,454,294
LIABILITIES AND PARTNERS' CAPITAL	
Due to affiliate	$ 8,455,722
Deferred tax liability	132,082,756
Total liabilities	140,538,478
Partners' capital:	
General Partner	—
Limited Partners	1,456,915,816
Total partners' capital	1,456,915,816
Total liabilities and partners' capital	$ 1,597,454,294

The accompanying notes are an integral part of these consolidated financial statements.

ENCAP ENERGY CAPITAL FUND X-C, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF OPERATIONS

	Three months ended March 31, 2022
Net investment income allocated from EnCap Energy Capital Fund X, L.P.:	
Investment income	$ 44,575,850
Investment expense	(3,294,607)
Net investment income allocated from EnCap Energy Capital Fund X, L.P.	41,281,243
Expenses:	
General and administrative	20,454
Total expenses	20,454
Net investment income	41,260,789
Realized and unrealized gain on investments allocated from EnCap Energy Capital Fund X, L.P.:	
Net realized gain on investments	163,888,184
Net change in unrealized appreciation on investments	250,837,696
Allocation of unearned carried interest	(91,201,422)
Net realized and unrealized gain on investments allocated from EnCap Energy Capital Fund X, L.P.	323,524,458
Income before provision for income taxes	364,785,247
Provision for income taxes	78,154,305
Net increase in partners' capital resulting from operations	$ 286,630,942

The accompanying notes are an integral part of these consolidated financial statements.

ENCAP ENERGY CAPITAL FUND X-C, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	General Partner	Limited Partners	Total
Partners' capital at December 31, 2021	$ —	$ 1,316,410,480	$ 1,316,410,480
Capital contributions	—	13,942,641	13,942,641
Capital distributions	—	(160,068,247)	(160,068,247)
Net increase in partners' capital resulting from operations	—	286,630,942	286,630,942
Partners' capital at March 31, 2022	$ —	$ 1,456,915,816	$ 1,456,915,816

The accompanying notes are an integral part of these consolidated financial statements.

ENCAP ENERGY CAPITAL FUND X-C, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF CASH FLOWS

	Three months ended March 31, 2022
Cash flows from operating activities:	
Net increase in partners' capital resulting from operations	$ 286,630,942
Adjustments to reconcile increase in partners' capital resulting from operations to net cash provided by operating activities:	
Purchase of EnCap Energy Capital Fund X, L.P.	(13,942,641)
Proceeds from EnCap Energy Capital Fund X, L.P.	160,108,295
Net investment income allocated from EnCap Energy Capital Fund X, L.P.	(41,281,243)
Realized gain on investments	(163,888,184)
Change in unrealized appreciation on investments	(250,837,696)
Allocation of unearned carried interest	91,201,422
Change in operating assets and liabilities	
(Increase) decrease in taxes receivable	499,931
(Increase) decrease in due from Limited Partners	16,505
Increase (decrease) in due to affiliate	7,583,916
Increase (decrease) in deferred tax liability	77,654,374
Net cash provided by operating activities	153,745,621
Cash flows from financing activities:	
Contributions from partners	13,942,641
Distributions to partners	(160,068,247)
Net cash used for financing activities	(146,125,606)
Net change in cash	7,620,015
Cash, beginning of period	193,811
Cash, end of period	$ 7,813,826

The accompanying notes are an integral part of these consolidated financial statements.

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund X-C, L.P. (the “Partnership”), a Cayman exempt limited partnership, was formed on March 5, 2015 to provide its partners with an opportunity to participate as a limited partner in EnCap Energy Capital Fund X, L.P. (“Fund X”), a Texas limited partnership. Fund X was formed on March 5, 2015 to invest in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to a partnership agreement (the “Partnership Agreement”) dated March 5, 2015, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund X-C Cayman GP, LLC (“General Partner”), a Delaware limited liability company, is the sole general partner of the Partnership. The General Partner does not own an economic interest in the Partnership.

The Partnership’s final close was on April 7, 2015. There are 63 investors owning the limited partnership interests (“Limited Partners”) in the Partnership. The Limited Partners’ total capital commitments to the Partnership are $1,380.1 million. The Limited Partners’ total outstanding commitments as of March 31, 2022 were approximately $74.1 million. The ratio of total contributed capital to total committed capital is 95.0%.

As a limited partner in Fund X, the Partnership indirectly invests in all corresponding investments in Fund X and receives a proportionate amount of investment income, gains (losses) and expenses equal to its relative contribution of capital as pursuant to the Fund X partnership agreement. The financial statements of Fund X, including the Schedule of Investments, are attached to this report and should be read with the Partnership’s financial statements. The Partnership’s funded ownership interest in Fund X is 20.594743%. EnCap Energy Fund X-C, L.P. (“Blocker”), a wholly-owned subsidiary of the Partnership, was formed on March 5, 2015, for the purpose of being a limited partner of and holding record title to the limited partner interest in Fund X.

The Partnership shall be dissolved upon the dissolution of Fund X or the expiration of a 10-year period ending March 5, 2025, unless greater than 80% of the Limited Partners agree to extend the Partnership for up to two additional one-year periods in order to permit an orderly liquidation and winding up of the Partnership.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America (“GAAP”). The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification (“ASC”) 946, Financial Services – Investment Companies.

Consolidation

Blocker is included in the accounts of the Partnership. All intercompany balances and transactions have been eliminated from the consolidated financial statements.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

Investment valuation and transactions

The Financial Standards Accounting Board ("FASB") guidance "Fair Value Measures," establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;

Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;

Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

As of March 31, 2022, the investment in Fund X is excluded from the fair value hierarchy leveling as the fair value of the investment was measured at net asset value ("NAV") using the practical expedient. Fund X's valuation policies are discussed in Note 2 of the Fund X financial statements attached to this report.

Concentration of Risk

As the Partnership's investment in Fund X is primarily related to the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

Fund X's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, Fund X may not invest more than 15% of total commitments in any one portfolio company without the prior approval of the Advisory Board or 20% of total commitments in any one portfolio company without consent of at least 66 2/3% of its limited partners. This policy may subject Fund X to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by Fund X may expose the Partnership to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested through Fund X in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, Fund X might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by Fund X. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

Cash

Cash represents cash deposits held at financial institutions which is readily available. At any time, cash in financial institutions may exceed federally insured limits.

Income and Expenses

Income and expenses from the Partnership's general operations are recognized on the accrual basis.

Gains or Losses on Investments

Realized gains and losses on investments represent the pro-rata allocation of Fund X's difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Income Taxes

The Partnership's consolidated financial statements include provisions for income tax expense and income taxes payable by its subsidiary, Blocker. In accordance with the FASB guidance "Income Taxes", Blocker provides for all income taxes payable and for deferred taxes arising from temporary differences between the book and tax bases of assets and liabilities using enacted tax rates and laws in effect in the years in which differences are expected to reverse. Income taxes paid and payable by Blocker are allocated to the Partners based on their respective sharing percentages in effect at the time of the respective expense or benefit is incurred. A valuation allowance is recognized for deferred tax assets if it is more likely than not that some or all of the deferred tax asset will not be realized.

The Partnership is not subject to income taxation, the tax effects of its activities accrue to the individual partners. The Partnership's tax returns are subject to examination by federal and state taxing authorities. As of December 31, 2021, the earliest tax year that remains subject to examination under the standard limitation period is 2018. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Partnership's income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Partnership. To the extent possible under the new rules, the Partnership's general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership's general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

The General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners' capital. Based on the General Partner's analysis, there are no material disclosures or adjustments impacting the Partnership's financial statements as of March 31, 2022. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusions may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – ALLOCATIONS TO PARTNERS:

The Partnership Agreement provides that the net increase (decrease) in partners' capital resulting from operations associated with the Partnership is allocated 100% to the Limited Partners on a pro-rata basis.

NOTE 4 – TRANSACTIONS WITH RELATED PARTIES:

During the three months ended March 31, 2022, the Partnership reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, $40,048 for general and administrative expenses. At March 31, 2022, the Partnership owed EnCap $0 for general and administrative expenses. At March 31, 2022, the Partnership owed Fund X $830,431 related to flow through Oklahoma royalty withholding.

NOTE 5 – INCOME TAXES:

The Partnership's wholly owned corporate subsidiary, Blocker, recorded income tax expense of $54,440,632 during the year ended December 31, 2021. Set forth below is the reconciliation between taxes on income subject to taxation computed at the Federal statutory rate of 21% and the Partnership's reported provision for income taxes:

		December 31, 2021
Income before income taxes	$	621,251,751
Nontaxable partnership loss		(95,603,431)
Income subject to taxation	$	525,648,320
Income taxes on above at statutory rate	$	110,386,147
State taxes		12,540,252
Other		14,023
Valuation Allowance		(68,524,310)
Provision to return		24,520
Income Taxes	$	54,440,632

The following table reflects the components of income tax expenses included in income from continuing operations:

		December 31, 2021
Current		
Federal	$	-
State		12,250
Total Current		12,250
Deferred		
Federal		52,442,768
State		1,985,614
Total Deferred		54,428,382
Total income taxes	$	54,440,632

The Partnership's deferred tax liability is comprised of the following:

		December 31, 2021
Net operating loss carryforwards	$	26,411,430
Deferred interest deductions and other		104,094,449
Deferred tax asset		130,604,780
Book versus tax basis difference in investments		(185,033,162)
Deferred tax liability		(185,033,162)
Net deferred tax asset/(liability)	$	(54,428,382)

The Partnership has $76,964,165 of federal net operating loss carryforwards and state net operating loss carryforwards of $271,746,531 that expire beginning in 2035. As a result of The Tax Reform Act, federal net operating losses and certain state net operating losses generated in tax years beginning after December 31, 2017 can be carried forward indefinitely. Realization of deferred tax assets associated with net operating loss carryforwards is dependent upon generating sufficient taxable income prior to their expiration. Management believes that the weight of available evidence suggests that it is more likely than not that the deferred tax asset will be realized as of December 31, 2021 and have released the prior valuation allowance against the deferred tax asset.

As of December 31, 2021, the Partnership has examined all material federal and state tax positions for all open tax years and is not aware of any uncertain tax positions requiring adjustments to our tax liability. If applicable, we will record to the income tax provision any interest and penalties related to unrecognized tax positions.

NOTE 6 – FINANCIAL HIGHLIGHTS:

The following financial highlights for the year ended December 31, 2021, have been calculated in accordance with guidance provided in Accounting Standards Codification 946, “Financial Services – Investment Companies”:

Net investment income ratio	4.5%
Expense ratios:	
Expenses	5.8%
Unearned incentive allocation	14.1%
Expenses including unearned incentive allocation ratio	19.9%
Internal rate of return net of incentive allocation (Inception to December 31, 2021)	10.8%
Internal rate of return net of incentive allocation (Inception to December 31, 2020)	1.1%

The net investment income and expense ratios are calculated for the Limited Partners taken as a whole. The net investment income and expenses ratios do not reflect the effects of the incentive allocation to the General Partner. The expense ratios include expenses allocated from Fund X and the effect of the income tax provision. The internal rate of return from inception is calculated based on the actual dates of the cash inflows and outflows and the residual value of the Limited Partners' capital account, net of all incentive allocations, if any, as of each measurement date. Future realization of investments may be at different values than currently carried fair values, resulting in rates of return that may differ materially from that indicated above.

NOTE 7 – COMMITMENTS AND CONTINGENCIES:

The Partnership's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.

ENCAP ENERGY CAPITAL FUND X-D, L.P.

FINANCIAL STATEMENTS

MARCH 31, 2022

ENCAP ENERGY CAPITAL FUND X-D, L.P.

STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

	March 31, 2022
ASSETS	
Investment in EnCap Energy Capital Fund X, L.P., at fair value	$ 374,679,686
Cash and cash equivalents	5,514,042
Total assets	$ 380,193,728
LIABILITIES AND PARTNERS' CAPITAL	
Due to affiliate	$ 1,796,432
Due to Limited Partners	3,681,126
Total liabilities	5,477,558
Partners' capital:	
General Partner	—
Limited Partners	374,716,170
Total partners' capital	374,716,170
Total liabilities and partners' capital	$ 380,193,728

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND X-D, L.P.

STATEMENT OF OPERATIONS

	Three months ended March 31, 2022
Net investment income allocated from EnCap Energy Capital Fund X, L.P.:	
Investment income	$ 10,508,784
Investment expense	(776,706)
Net investment income allocated from EnCap Energy Capital Fund X, L.P.	9,732,078
Expenses:	
General and administrative	6,464
Total expenses	6,464
Net investment income	9,725,614
Realized and unrealized gain on investments allocated from EnCap Energy Capital Fund X, L.P.:	
Net realized gain on investments	38,636,739
Net change in unrealized appreciation on investments	59,135,139
Allocation of unearned carried interest	(21,500,790)
Net realized and unrealized gain on investments allocated from EnCap Energy Capital Fund X, L.P.	76,271,088
Net increase in partners' capital resulting from operations	$ 85,996,702

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND X-D, L.P.

STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	General Partner	Limited Partners	Total
Partners' capital at December 31, 2021	$ —	$ 323,164,136	$ 323,164,136
Capital contributions	—	3,286,986	3,286,986
Capital distributions	—	(37,731,654)	(37,731,654)
Net increase in partners' capital resulting from operations	—	85,996,702	85,996,702
Partners' capital at March 31, 2022	$ —	$ 374,716,170	$ 374,716,170

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND X-D, L.P.

STATEMENT OF CASH FLOWS

	Three months ended March 31, 2022
Cash flows from operating activities:	
Net increase in partners' capital resulting from operations	$ 85,996,702
Adjustments to reconcile increase in partners' capital resulting from operations to net cash provided by operating activities:	
Purchase of EnCap Energy Capital Fund X, L.P.	(3,286,986)
Proceeds from EnCap Energy Capital Fund X, L.P.	37,745,628
Net investment income allocated from EnCap Energy Capital Fund X, L.P.	(9,732,078)
Realized gain on investments	(38,636,739)
Change in unrealized appreciation on investment	(59,135,139)
Allocation of unearned carried interest	21,500,790
Change in operating assets and liabilities	
Increase (decrease) in due to affiliate	1,750,274
Increase (decrease) in due to Limited Partners	3,345,000
Net cash provided by operating activities	39,547,452
Cash flows from financing activities:	
Contributions from partners	3,286,986
Distributions to partners	(37,731,654)
Net cash used for financing activities	(34,444,668)
Net change in cash and cash equivalents	5,102,784
Cash and cash equivalents, beginning of period	411,258
Cash and cash equivalents, end of period	$ 5,514,042

The accompanying notes are an integral part of these financial statements.

NOTES TO FINANCIAL STATEMENTS

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund X-D, L.P. (the "Partnership"), a Texas limited partnership, was formed on March 5, 2015 to provide its partners with an opportunity to participate as a limited partner in EnCap Energy Capital Fund X, L.P. ("Fund X"), a Texas limited partnership. Fund X was formed on March 5, 2015 to invest in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to a partnership agreement (the "Partnership Agreement") dated March 5, 2015, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund X-D GP, LLC ("General Partner"), a Delaware limited liability company, is the sole general partner of the Partnership. The General Partner does not own an economic interest in the Partnership.

The Partnership's final close was on April 7, 2015. There are 14 investors owning the limited partnership interests ("Limited Partners") in the Partnership. The Limited Partners' total capital commitments to the Partnership are $325.4 million. The Limited Partners' total outstanding commitments as of March 31, 2022 were approximately $17.5 million. The ratio of total contributed capital to total committed capital is 95.0%.

As a limited partner in Fund X, the Partnership indirectly invests in all corresponding investments in Fund X and receives a proportionate amount of investment income, gains (losses) and expenses equal to its relative contribution of capital as pursuant to the Fund X partnership agreement. The financial statements of Fund X, including the Schedule of Investments, are attached to this report and should be read with the Partnership's financial statements. The Partnership's funded ownership interest in Fund X is 4.855223%. The Partnership will participate in Fund X indirectly through EnCap Energy X-D, Inc. ("Fund X-D, Inc."). Fund X-D, Inc. will hold record title to the limited partnership interest in Fund X as a nominee for and behalf of the Partnership as described in the Agency Agreement. Beneficial ownership will remain with the Partnership, which will be treated as the owner of the Partnership interest in Fund X for U.S. federal income tax purposes.

The Partnership shall be dissolved upon the dissolution of Fund X or the expiration of a 10-year period ending March 5, 2025, unless greater than 80% of the Limited Partners agree to extend the Partnership for up to two additional one-year periods in order to permit an orderly liquidation and winding up of the Partnership.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America ("GAAP"). The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification ("ASC") 946, Financial Services – Investment Companies.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

Investment valuation and transactions

The Financial Standards Accounting Board ("FASB") guidance "Fair Value Measures," establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;

Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;

Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

As of March 31, 2022, the investment in Fund X is excluded from the fair value hierarchy leveling as the fair value of the investment was measured at net asset value ("NAV") using the practical expedient. Fund X's valuation policies are discussed in Note 2 of the Fund X financial statements attached to this report.

Concentration of Risk

As the Partnership's investment in Fund X is primarily related to the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

Fund X's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, Fund X may not invest more than 15% of total commitments in any one portfolio company without the prior approval of the Advisory Board or 20% of total commitments in any one portfolio company without consent of at least 66 2/3% of its limited partners. This policy may subject Fund X to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by Fund X may expose the Partnership to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested through Fund X in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, Fund X might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by Fund X. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

Cash and cash equivalents

Cash and cash equivalents consist of demand deposits and cash held in Fidelity Investments Money Market Funds Treasury Portfolio – Class I ("Fidelity money market account"), a money market fund which contains investments with weighted average maturities of three months or less. As of March 31, 2022, the Partnership has cash in its Fidelity money market account of $159,828. The Partnership places its cash and cash equivalents with financial institutions and, at times, cash held in bank accounts may exceed the Federal Deposit Insurance Corporation insured limit. Cash and cash equivalents are classified as Level 1 assets and are carried at cost or amortized cost which approximates fair value.

Income and Expenses

Income and expenses from the Partnership's general operations are recognized on the accrual basis.

Gains or Losses on Investments

Realized gains and losses on investments represent the pro-rata allocation of Fund X's difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Income Taxes

No provision for federal income taxes is included in the accompanying financial statements. As the Partnership is not subject to income taxation, the tax effects of its activities accrue to the individual partners.

The Partnership's tax returns are subject to examination by federal and state taxing authorities. As of December 31, 2021, the earliest tax year that remains subject to examination under the standard limitation period is 2018. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Partnership's income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Partnership. To the extent possible under the new rules, the Partnership's general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership's general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

In accordance with a provision of the FASB guidance "Income Taxes", the General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners' capital. Based on the General Partner's analysis, there are no material disclosures or adjustments impacting the Partnership's financial statements as of March 31, 2022. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusion may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – ALLOCATIONS TO PARTNERS:

The Partnership Agreement provides that the net increase (decrease) in partners' capital resulting from operations associated with the Partnership is allocated 100% to the Limited Partners on a pro-rata basis.

NOTE 4 – TRANSACTIONS WITH RELATED PARTIES:

During the three months ended March 31, 2022, the Partnership reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, $13,973 for general and administrative expenses. At March 31, 2022, the Partnership owed EnCap $0 for general and administrative expenses. At March 31, 2022, the Partnership withheld certain federal and state taxes of $3,681,126 on behalf of certain Limited Partners.

NOTE 5 – FINANCIAL HIGHLIGHTS:

The following financial highlights for the year ended December 31, 2021, have been calculated in accordance with guidance provided in Accounting Standards Codification 946, "Financial Services – Investment Companies":

Net investment income ratio	4.5%
Expense ratios:	
Operating expenses	1.2%
Unearned incentive allocation	13.9%
Operating expenses and unearned incentive allocation ratio	15.1%
Internal rate of return net of incentive allocation (Inception to December 31, 2021)	11.6%
Internal rate of return net of incentive allocation (Inception to December 31, 2020)	1.1%

The net investment income and expense ratios are calculated for the Limited Partners taken as a whole. The net investment income and operating expenses ratios do not reflect the effects of the incentive allocation to the General Partner. The expense ratios include expenses allocated from Fund X. The internal rate of return from inception is calculated based on the actual dates of the cash inflows and outflows and the residual value of the Limited Partners' capital account, net of all incentive allocations, if any, as of each measurement date. Future realization of investments may be at different values than currently carried fair values, resulting in rates of return that may differ materially from that indicated above.

NOTE 6 – COMMITMENTS AND CONTINGENCIES:

The Partnership's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.